



BK GROUP PLC
INVESTOR PRESENTATION
Q2 & 1H 2023



1

Group Overview

Strategic Objectives, Subsidiaries overview

pg. 03

2

Financial Results

For the six months ended June 30th, 2023

pg. 10

3

Growth Strategy

Delivering growth on all fronts

pg. 20

4

Appendix

Conducive operating environment

pg. 33



GROUP OVERVIEW

Four Key Strategic Objectives

Strategic Objectives

**Become the
Universal Financial
Services provider of
Choice for all
Rwandans**

**Control Risk,
strengthen systems
and revolutionize
customer experience**

**Digital Financial
Institution**

People



Vision

BK Group Plc aspires to be the leading provider of the most innovative financial solutions in the region.



Mission

Our mission is to be the leader in creating value for our stakeholders by providing the best financial services to businesses and individual customers, through motivated and professional staff.



Values

Customer Focus
Integrity
Quality
Excellence

Diversified Business

BK Group Plc is a holding company with 5 subsidiaries

FRw 1,155.7 billion
Net Loans¹

FRw 1,173.9 Billion
Customer Deposits¹



**Commercial &
Retail Banking**

375,038
Retail Clients

67
Branches



**Advisory/Wealth
Management**

35%
RSE Trading Market
Share

50.9%
Net Operating Income

30% Growth
AUMs¹

FRw 6.4 Billion
Gross Premium¹

FRw 1.7 Billion
Net Profit¹



Insurance
Non-life insurance

FRw 27.2 Billion
Total Assets¹

36%
Return on Adjusted
Equity



Technology
IoT, digital ecosystems,
eduTech

FRw 292 Million
Digital Consumers

FRw 429.3 Million
Broadband
connectivity

FRw 738.3 Million
Sales Revenue¹



EDUCATION



INNOVATION



**ENVIRONMENTAL
CONSERVATION**

Notes:

1. Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June, 2023

Competing in Attractive Markets

Country Statistics

- Nominal GDP of USD 11.1 billion¹ in 2022E
- Population of 13.0 million²
- In Q1 2023, GDP growth expanded to 9.2%²
- Moderate urban inflation with rate of 13.7% in June 2023;

\$11.1 billion
2022 Projected Nominal GDP

Rwandan Banking System

- Well regulated banking sector
- Significant headroom for growth given under-banked and excluded population; 36% of adults in Rwanda are banked or are using banking services³
- Total assets/GDP of 55.3% as at Q1 2023.

Bank Business

- Asset growth at a CAGR of 21.1% (2018 - 1H 2023); FRw 1.9 Billion as at June 30th, 2023 with 29.4% market share
- ROAA ranging from 3.3% - 3.9% between 2018 - 1H 2023
- 2,183 corporate clients; 375,038 retail clients; 59,260 SME clients and 44,268 Agri clients as at June 30th, 2023
- 67 branches and 105 ATMs

Source:

1. World Bank
2. NISR
3. BNR



Leading Bank in Rwanda

Strong market positioning and high capital adequacy ratios

FRw 1,906.5 billion

Total Assets¹



FRw 1,155.7 billion

Net Loans¹



FRw 1,173.9 billion

Customer Deposits¹



FRw 337.5 billion

Shareholder's Equity¹



2.3%

Non-Performing Loans¹
% of Gross Loans

50.4%

Liquid Assets Holding²

234.3%

Liquidity Coverage Ratio³

Best Bank in Rwanda
2020



Euromoney Award for Excellence
2019



AA/A1+ Credit Rating



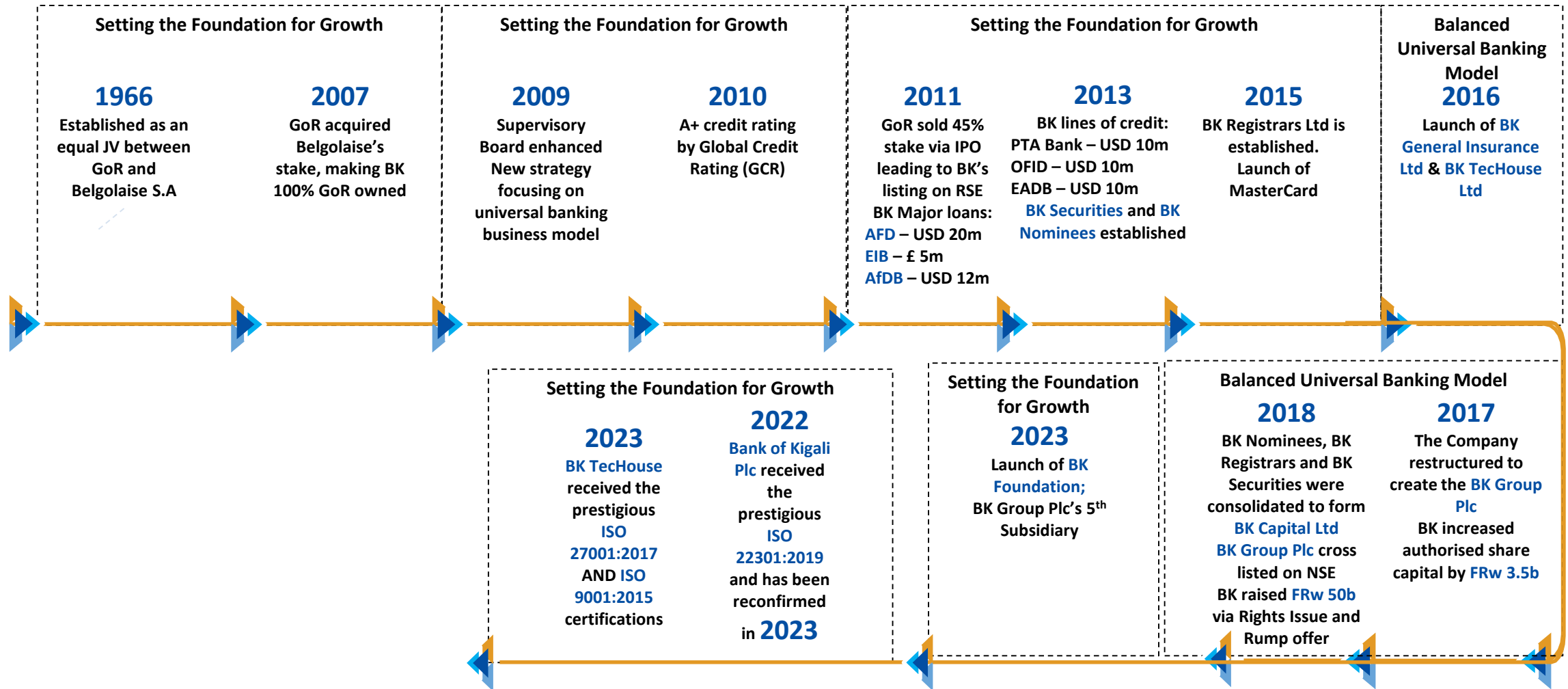
Best Financial Reporting Company - Rwanda
2019



Note:

1. Rwandan Franc (FRw) 1,165,3 FRw = 1 US\$ as at June, 2023
2. Minimum requirement is 20%
3. Minimum requirement is 100%

Growing Platform



Share Trading Performance

FRw 286 / KES 36.9

Current Price¹

918.5 million shares

Common shares outstanding¹

11.4%

Dividend yield, 1H 2023

RSE

\$225m

Market Cap¹

3.6x

P/E 1H 2023¹

0.8x

P/BV 1H 2023

NSE

\$241m

Market Cap²

3.8x

P/E 1H 2023¹

0.8x

P/BV 1H 2023

FRw 80.4 / KES 9.7

EPS 1H 2023

FRw 291 / KES 37.0

12-month high

FRw 245 / KES 27.0

12-month low

Analyst Coverage



Recommendation: **BUY**
Target Price: **FRw 325**
Last coverage report:
Mar 31st, 2022



Recommendation: **BUY**
Target Price: **FRw 538**
Last coverage report:
Sept 15th, 2022



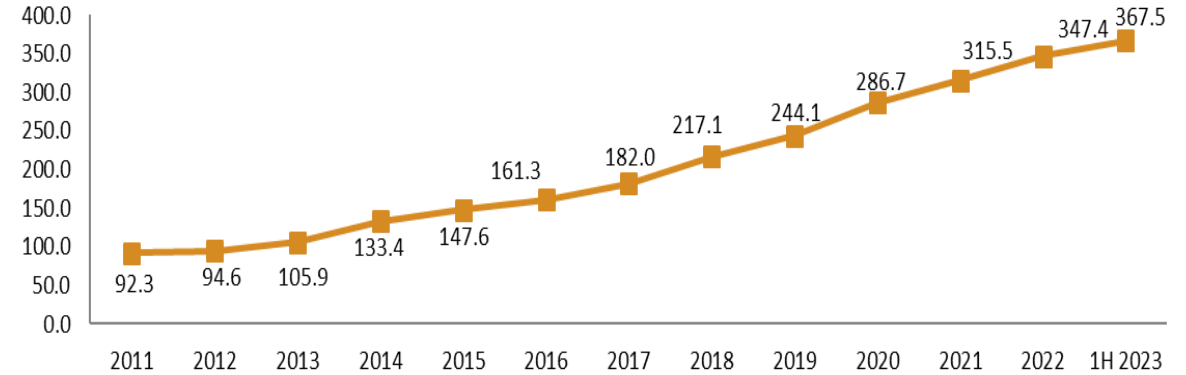
Recommendation: **BUY**
Target Price: **FRw 400**
Last coverage report:
Jul 5th, 2022



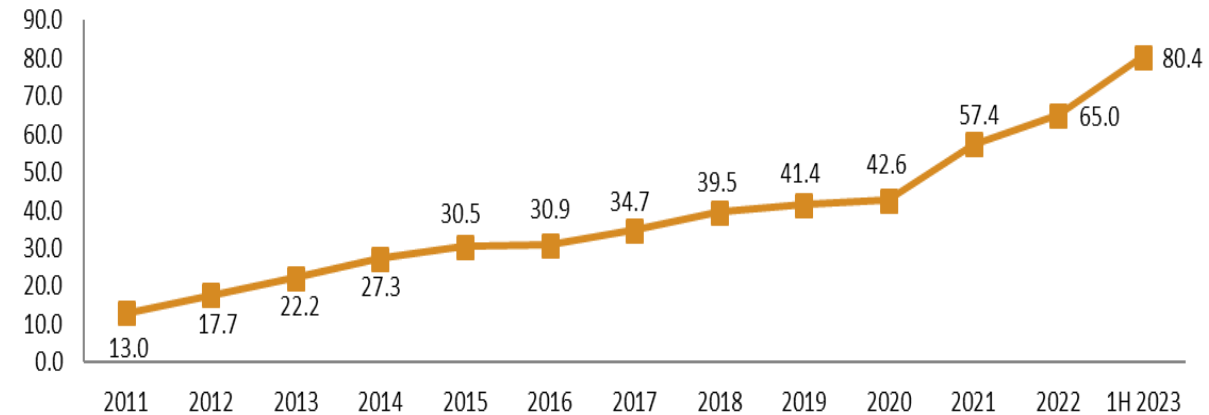
Recommendation: **BUY**
Target Price: **FRw 340.3**
Last coverage report:
July 9th, 2021

¹ Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June 2023
*Capital gains on RSE transactions are exempted from Capital Gains Tax

Book Value/Share



Earning Per Share (FRw)





1H 2023 Financial Results

Highlights

- Total assets up 16.1%
- Net loans 14.0%
- Net income up 30.3%
- Cost to income ratio up 1.1%

FRw Billion	1H 2022	1H 2023	% change
Total Assets	1,641.8	1,906.5	16.1%
Net Loans	1,013.4	1,155.7	14.0%
Client Deposits	1,025.0	1,173.9	14.5%
Shareholders Equity	296.5	337.5	13.9%
Net Income	28.3	36.9	30.3%
Cost to Income	41.3%	40.2%	1.1%

FRw/USD Period End Rate	1,024.8	1,165.3	13.7%
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USD million	2018	2019	2020	2021	2022	1H 2023
Total Assets	983.6	1,105.9	1,333.5	1569.2	1,731.3	1,636.0
Net Loans	636.9	735.8	870.4	977.1	1,059.4	991.8
Client Deposits	596.4	697.4	808.7	961.5	1,004.0	1,007.4
Shareholders Equity	218.3	239.6	265.2	281.5	298.0	289.7
Net Income*	30.7	40.5	39.3	51.2	55.8	31.7

FRw/USD Period End Rate	854.0	892.0	921.5	977.9	1,013.5	1,165.3
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Segment Highlights

Commercial & Retail Banking



- **Net Loans up 16.1%**
- **Customer deposits up 14.0%**
- **Net income up 30.3%**
- **Cost to income ratio up 1.1%**

Insurance



- **Net Profit grew by 10% y-o-y to 1.6 Billion** - Increase in premiums earned, investment income and efficiency in managing expenses
- **Total assets increased by 27% to FRw 27.2 Billion y-o-y**
- **ROE stood at 26%**
- **ROA stood at 14%**
- **Liquidity ratio stood was 146%**
- **Solvency ratio was 482%**

Advisory/Wealth Management



- **RSE Market Share**
 - Market share is 35% on the equity market and 22% in the bond market
 - BK Capital's Net Operating Income rose to FRw 752 million in Q2 2023; 96% growth from Q2 2022; mainly driven by positive developments in Corporate Finance and Fund Management.
- **AUMs up 30%**
 - Assets under management grew by 30% y-o-y to FRw 33.8 billion, mainly driven by net inflow in Aguka Unit Trust Fund due to its strong product proposition and marketing.

Technology



- **Sales Revenue**
 - Our Sales Revenue saw a y-o-y growth of 29% where Digital platforms contributed with 40%, Broadband products with 58% and IoT products with 2%.
- **Profit**
 - PBT decrease by 70% y-o-y due to increase in Opex

Corporate Banking Highlights

Highlights

- Clients include large Corporates, SMEs and NBAs*
- Interest rates are in the 16.0% - 18.5% range

Key products:

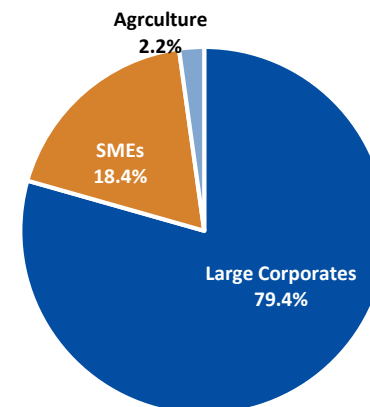
- CAPEX loans: long-term loans for investment or expansion of the business
- Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 15 years
- Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
- Overdrafts

Strategy:

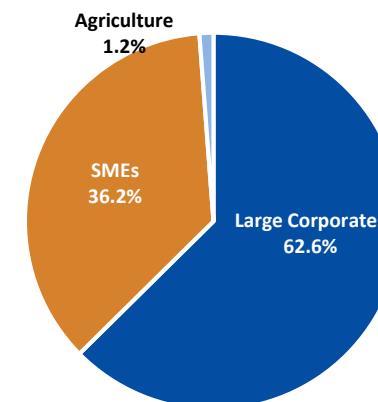
- Exploit cash management platform upgrade for sticky deposits and advantaged pricing for credit products.
- Hence, increasing both loans and deposits.
 - Introduce new services, integrate client coverage
 - Grow and consolidate market share
 - Leverage superior lending capacity
 - Focus on payroll services

*NBAs (Non Business Associations) include Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.
Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June 2023

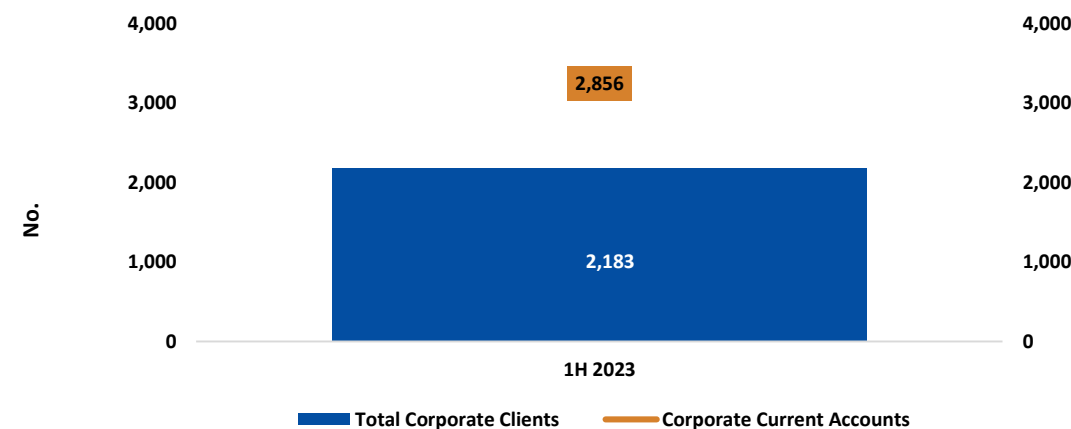
Corporate Loans: FRw 1,083.4 Bn



Corporate Deposits: FRw 963.8 Bn



Number of Corporate Accounts



Some of BK's clients



Retail Banking

Highlights

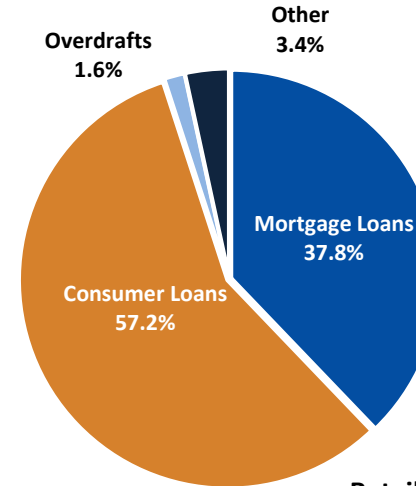
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts

Key products:

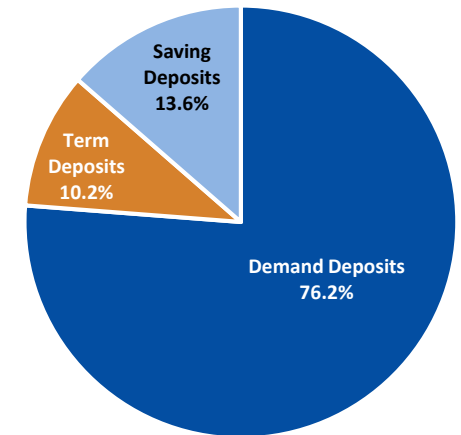
- Mortgage loan: up to 20 years with 20% customer equity contribution of property value.
- Home Equity Loan: up 70% of the value of the property repayable in 20 years
- Vehicle loan: up to 5 years to individual clients
- Consumer loan: Up 30Mn unsecured and 50Mn for private banking customers repaid in 60 months
- Overdraft: up to 50% of monthly salary (normally repaid in 30-90 days)
- Other products include credit cards and asset-based financing
- BKQuick loans
- Phone Financing loans (Macye Macye)
- Strategy:**
 - Through BKQUICK, a mobile solution towards savings and small loans, the Bank has been able to tap into the retail market competitively thus increasing loans and deposits in the segment. BK recovered more than 50% of funds in BK Quick NPL in 2 months
 - Instant issuing of credit/debit cards

Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June, 2023

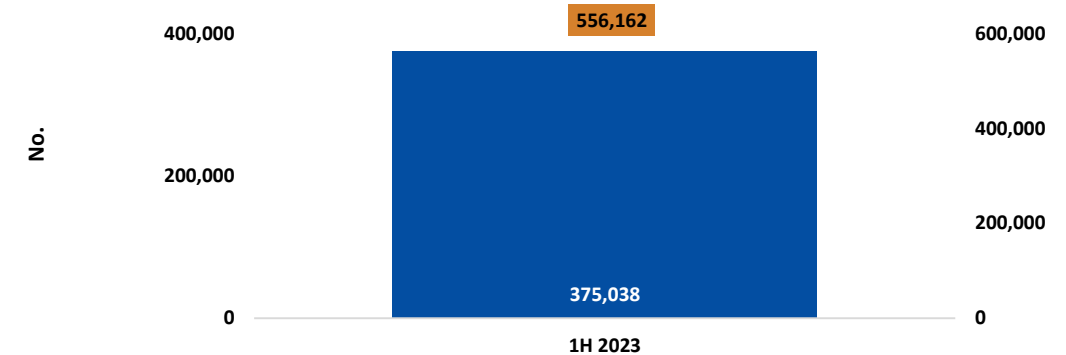
Retail Loans: FRw 163.2 billion



Retail Deposits: FRw 221.1 billion



Retail Client Accounts



Some of BK's products:

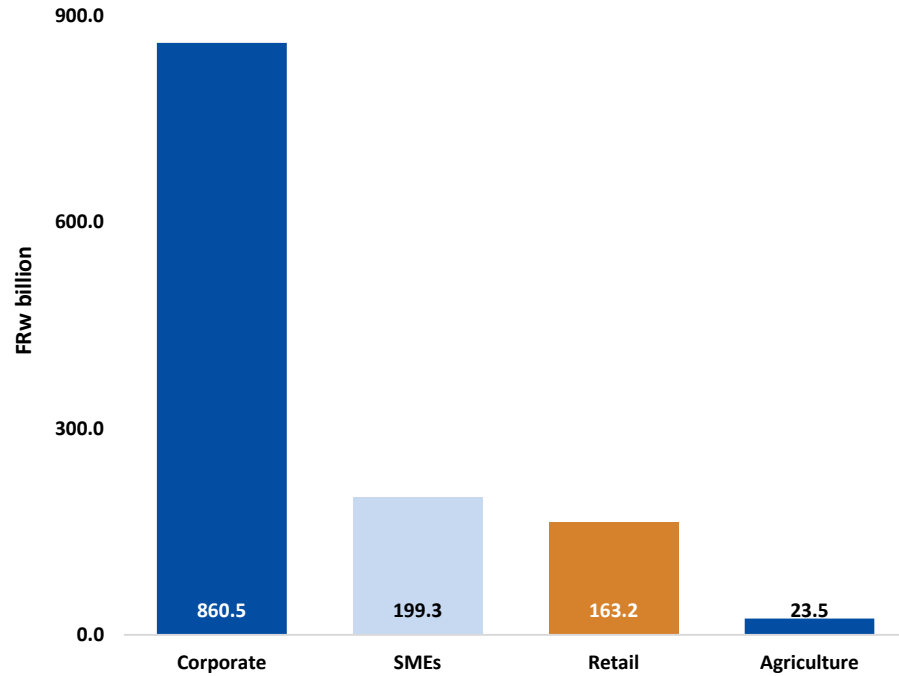


BK CASH POINT

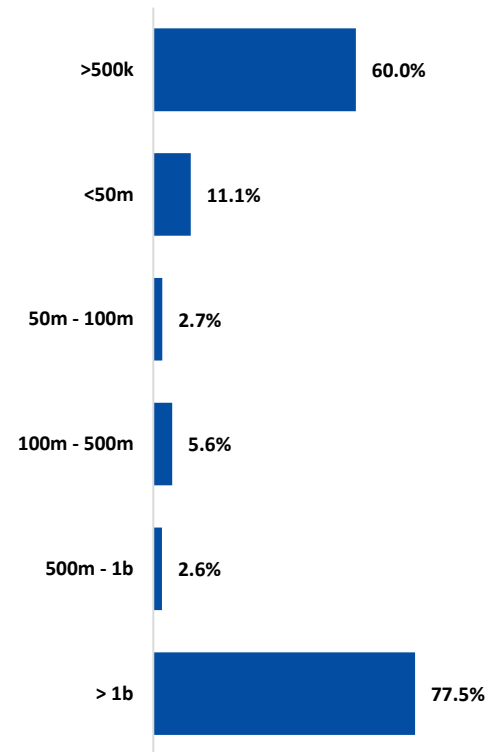


High Quality Loan Portfolio

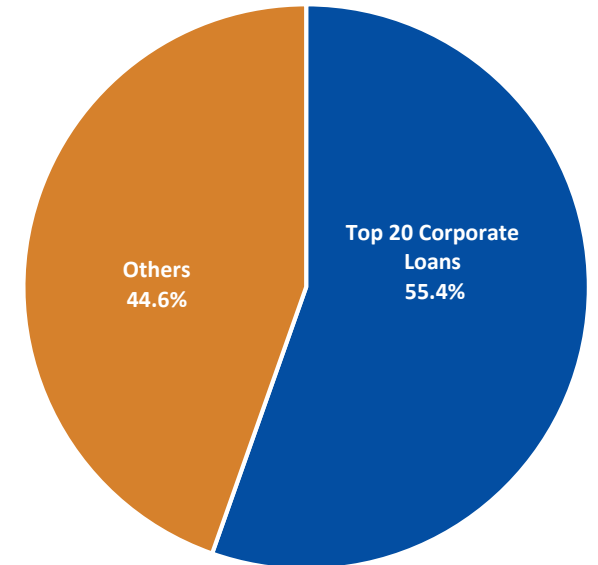
Gross Loan Portfolio



Total Gross Loan



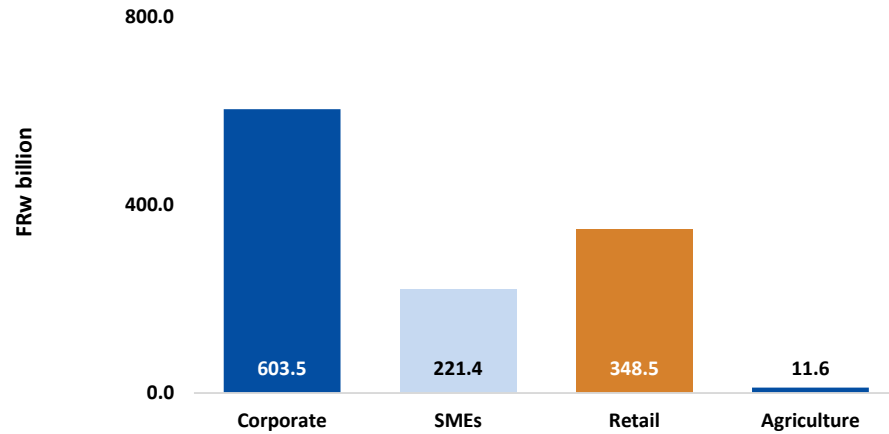
Corporate Loan Book 1H 2023



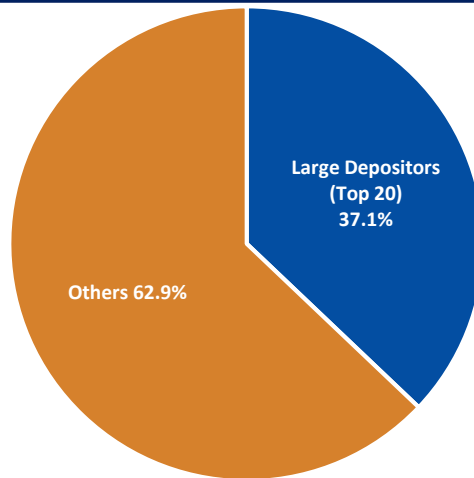
Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June 2023

Overview of Deposit Structure

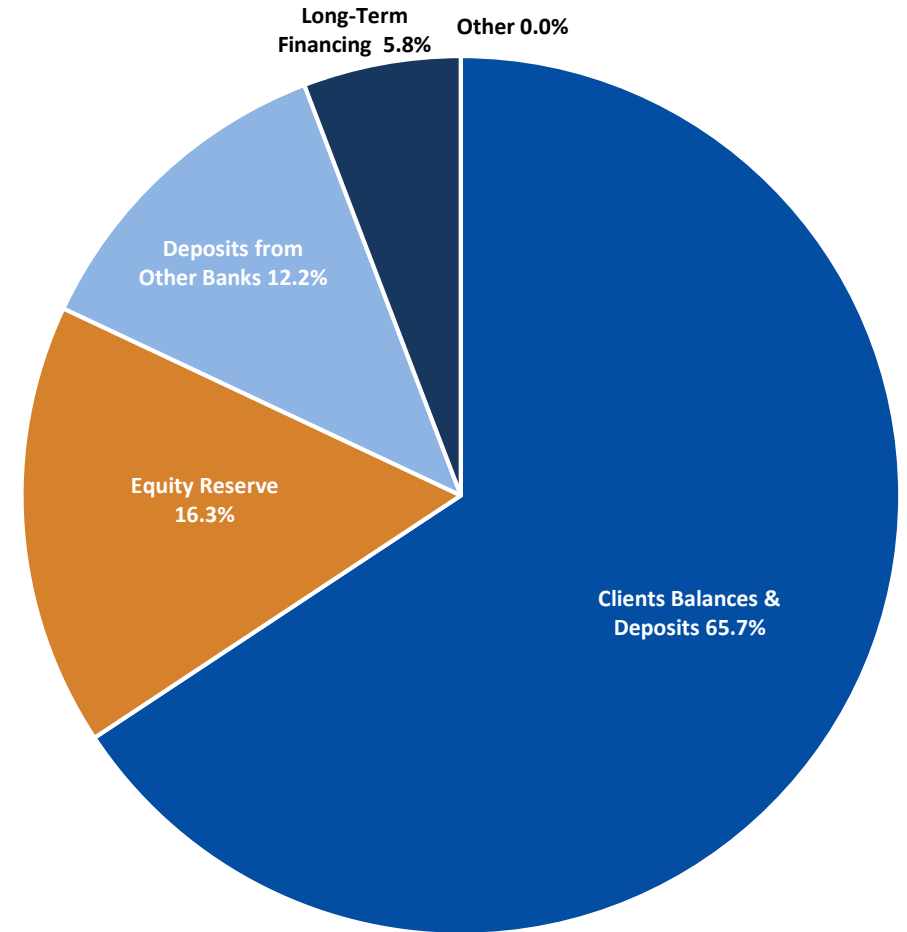
Total Deposits Growth



Customer Deposits 1H 2023



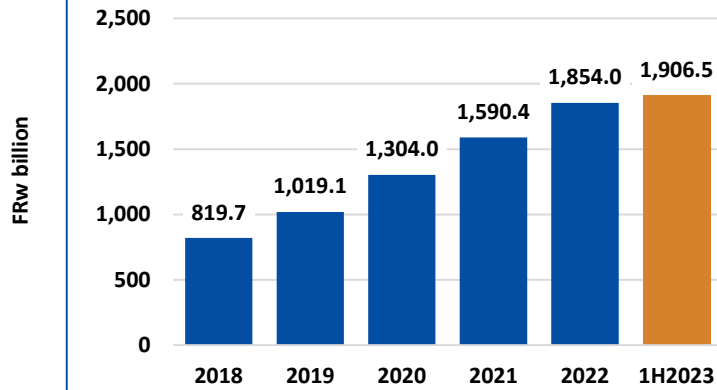
Funding Structure: FRw 1,802.5 billion



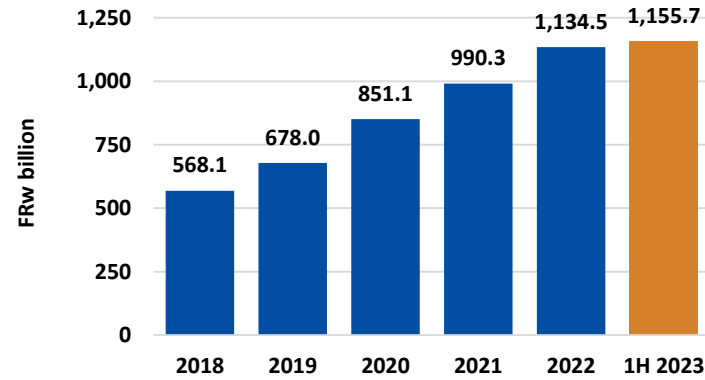
Rwandan Franc (FRw) 1,165.3FRw = 1 US\$ as at June 2023

Balance Sheet

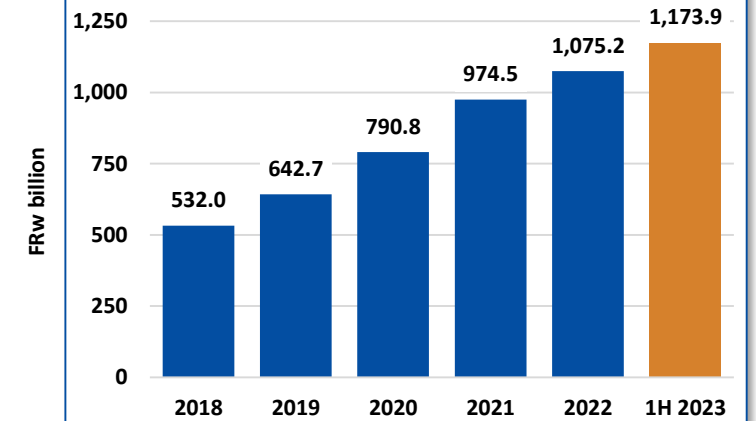
Total Assets



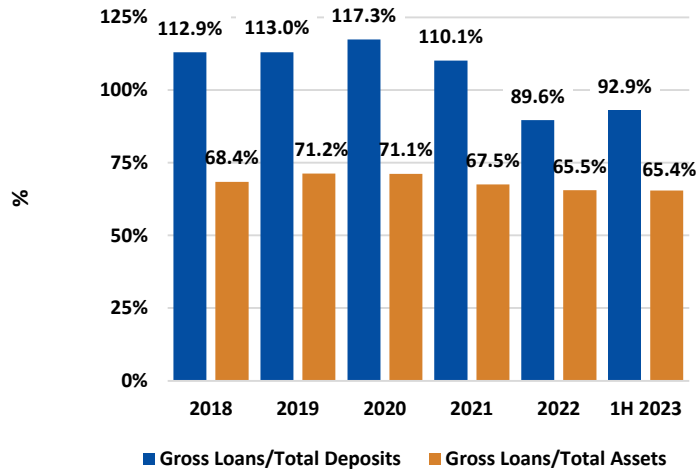
Net Loans & Advances



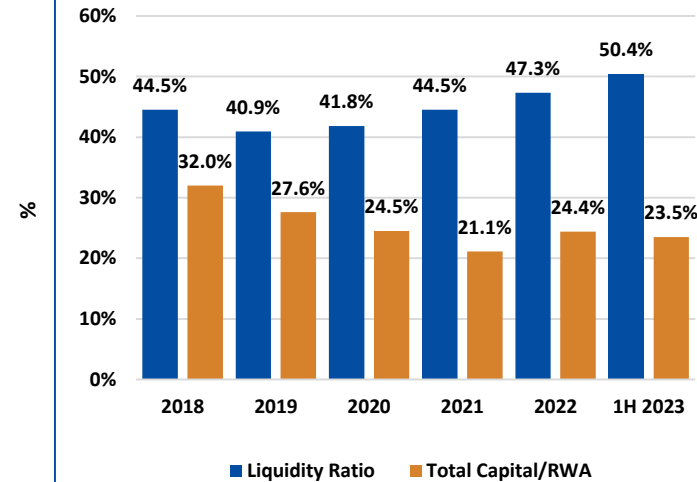
Customer Balances & Deposits



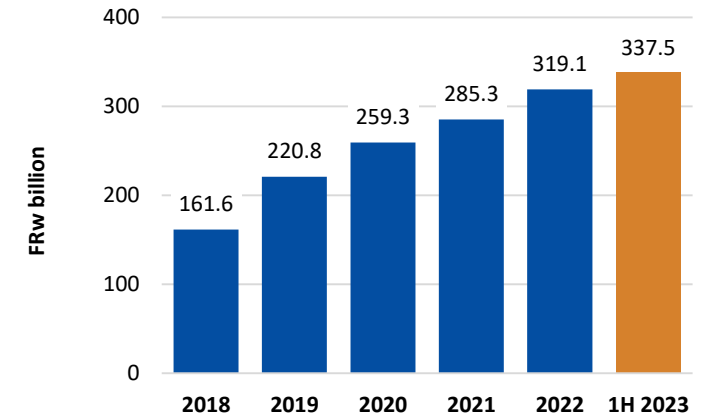
Strong Potential for Growth in Customer Deposits



Strong Capital And Liquidity Position



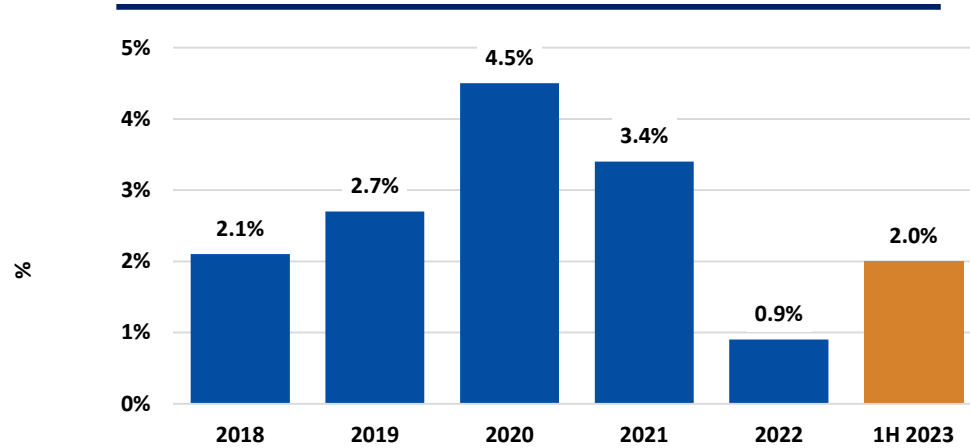
Shareholder's Equity



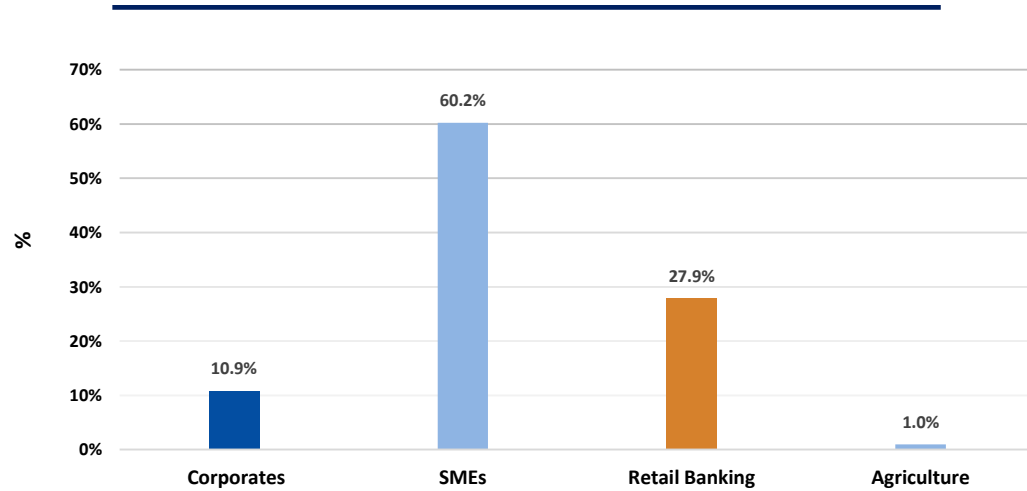
Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June, 2023

Credit Risk Profile

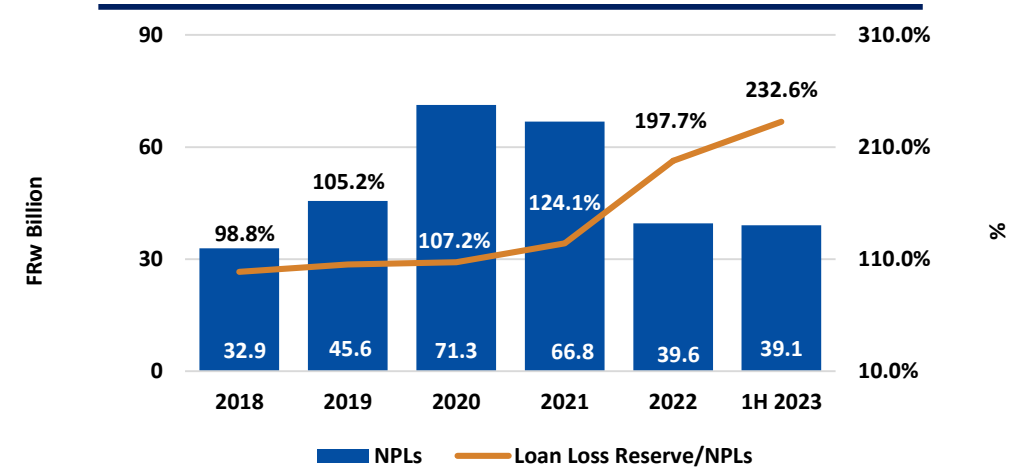
Cost of Risk %



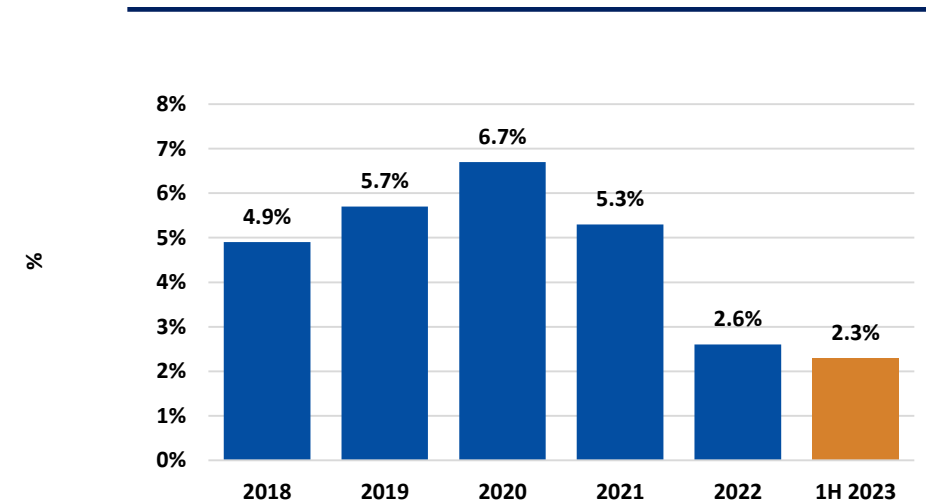
NPLs by Segment



Coverage Ratio



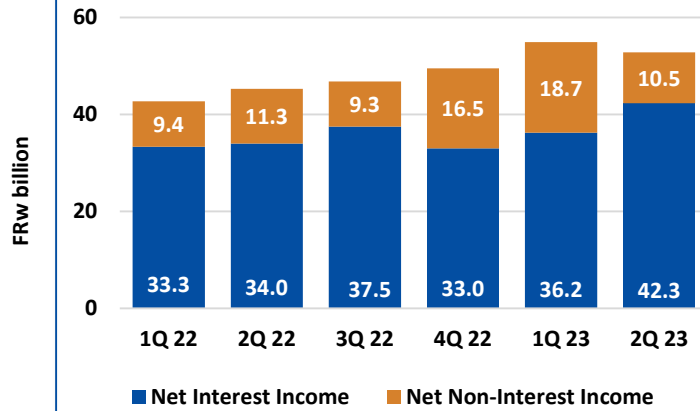
Improving NPL Ratio



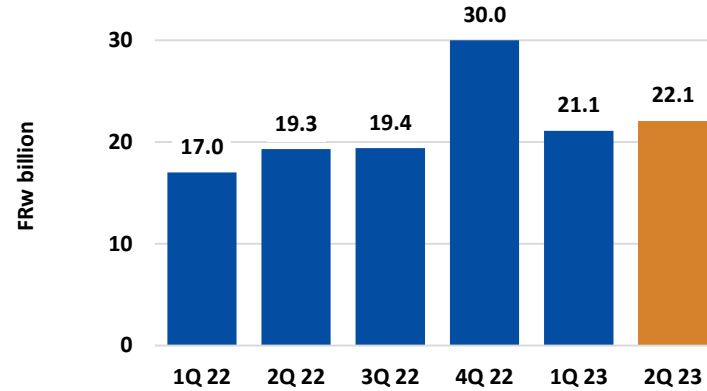
Rwandan Franc (FRw) 1,165.3 FRw = 1 US\$ as at June 2023

Income Statement

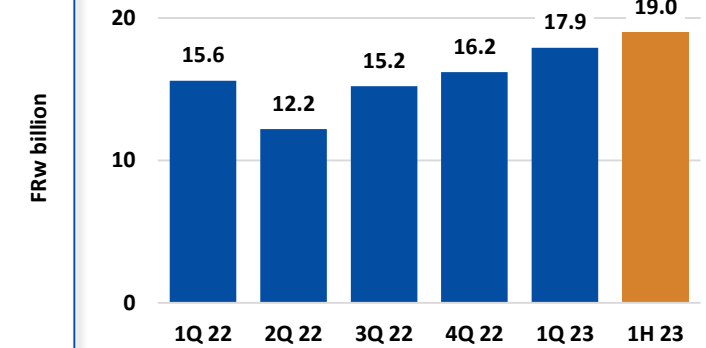
Total Operating Income



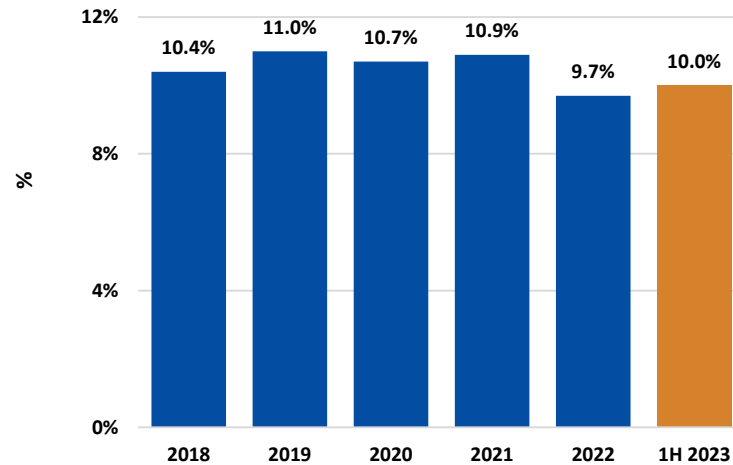
Total Recurring Operating Costs



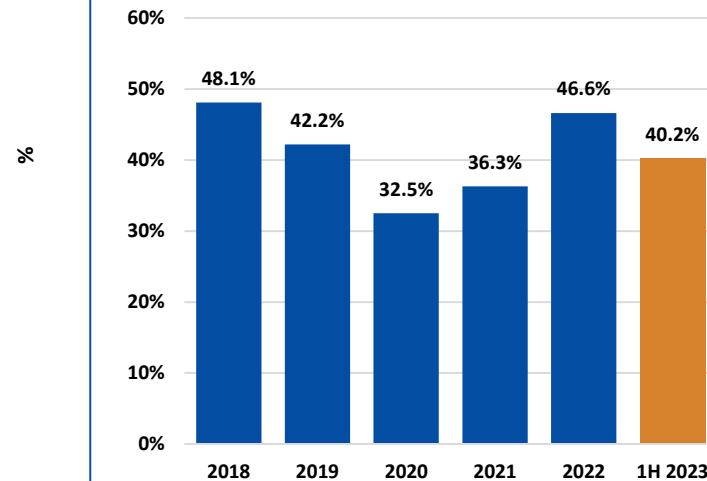
Net Profit



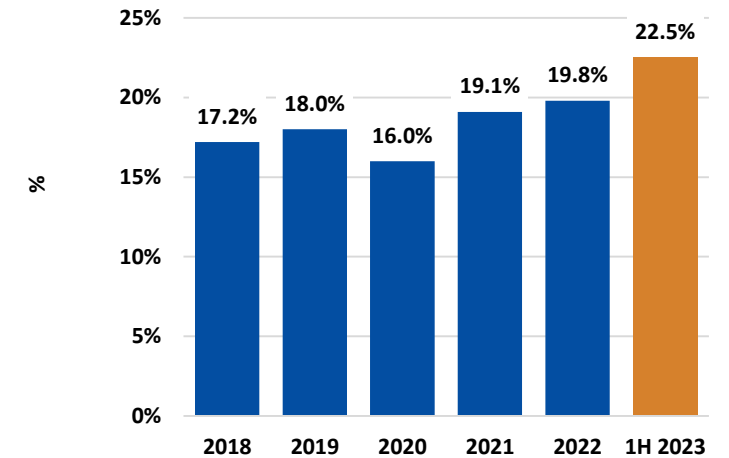
Net Interest Margin %



Cost/Income ratio



Return to Shareholders

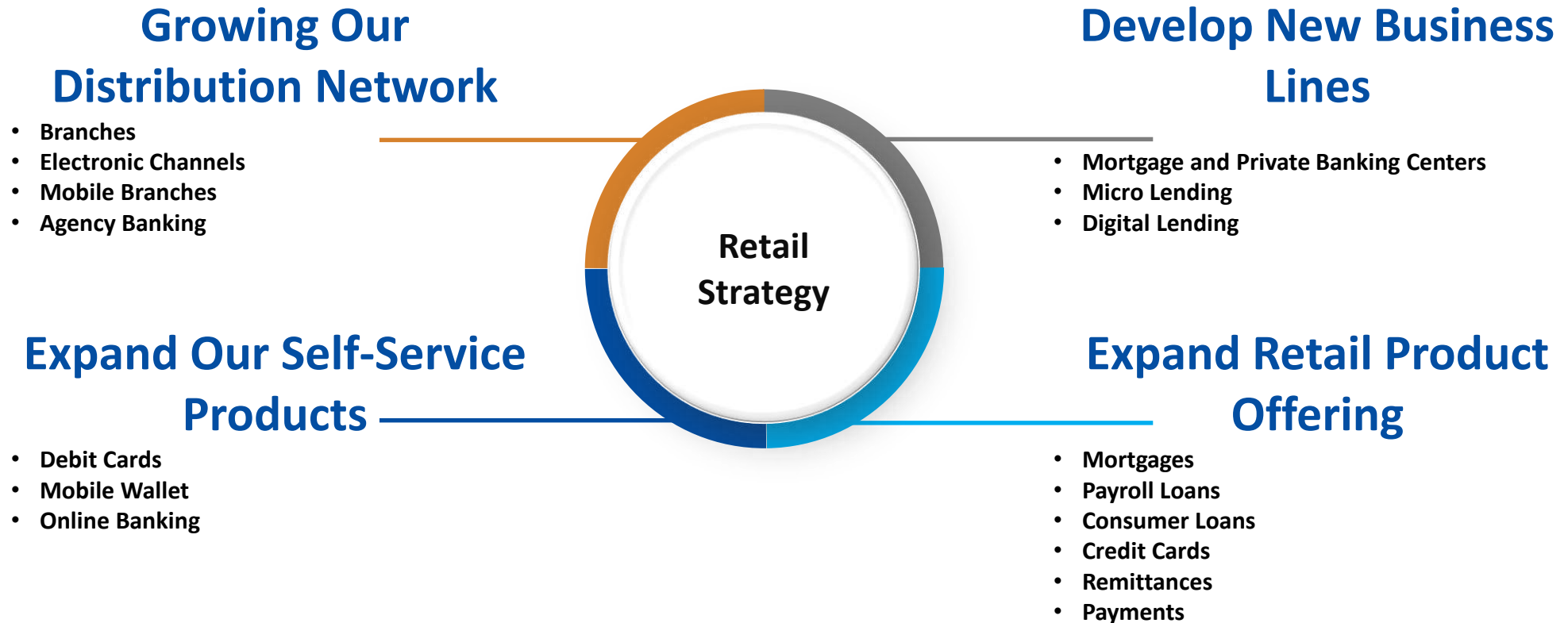




FUTURE GROWTH STRATEGY

Executing The Retail Strategy

Overview of Retail Strategy



Executing The Retail Strategy

1. Growing Our Distribution Network

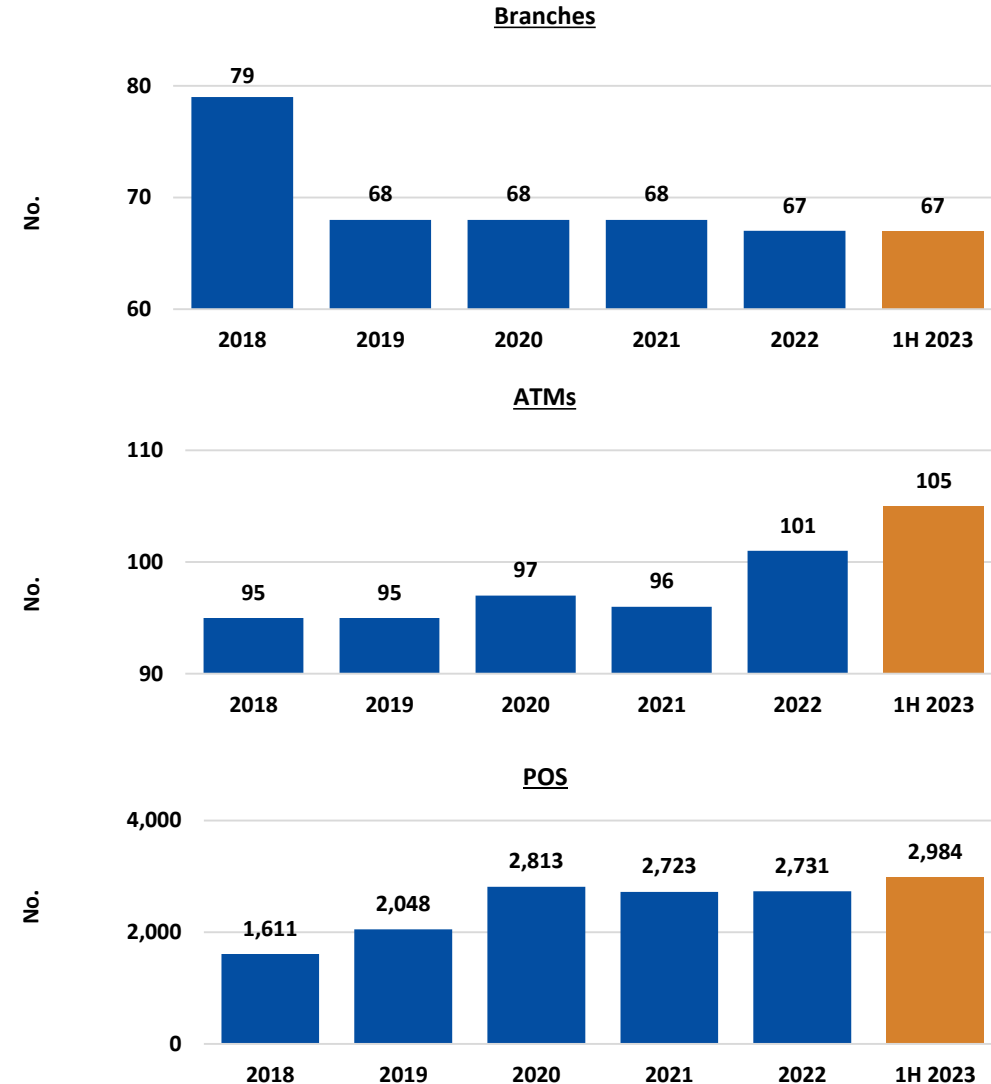
Highlights

- Agency Banking platform BK Yacu began operating in November 2012.
- Expanded the agency banking network to 4,162 operational agents as at June 30th, 2023.
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.

Retail Network



Ubiquitous Footprint



Executing The Retail Strategy

2. Expanding Our Self Service Products

Highlights

- Mobile banking service is available through BK Mobile (USSD code) or BK App allows customers to perform the following transactions:
 - Send money to any mobile phone user regardless of whether they operate a bank account or not;
 - Purchasing prepaid TV or airtime, payment of utilities, taxes and Government e-services;
 - Check Balances and Bank information;
 - Order cheque books;
 - Funds transfers including Interbank;



Achievements to date

- Issuing MasterCard and Visa line of products;
- Launch of e-Commerce acquiring;
- Over 46,396 Visa cards and 8,032 Master Cards are currently in circulation;
- Union Pay and Diners Club Card Acquiring and Amex ATM acquiring.

Self-service offering:



Strategic Outlook

	Objectives	Strategies	Outcomes
► 01	Become the Universal Financial Services provider of Choice for all Rwandans	- BK as a group intends to offer under one brand all financial services to its customers - Widen BK group scope of products and services - Grow Retail business, transactional revenue, Insurance, and brokerage and other services.	- Number of customers served by the group to reach 1,000,000 - Strengthen BK Brand across all segments of the population.
► 02	Control Risk, strengthen systems and revolutionize customer experience	- Provide main services of BK Group at Branch level - Customer service champions to convert customers into digital consumers - Operational and Effective Call Centre - Develop a business intelligence function to support decision making Provide key indicators in an easy format on a day-to-day basis	- Maintain manageable NPLs at less than 5%. - Reduce concentration, introduce automated scoring models for personal loans, salary advances and SMEs loans. - Operational risk - enhance internal and external compliance - solve customers pain points and ensure smooth and enjoyable customer experience.
► 03	Digital Financial Institution	Automation of processes, Integration of BK group systems to ensure a single view of customers, grow the number of digital consumers to at least 20% of BK Group customers	- IT system stabilised at 99% uptime of core banking systems and on all channels - Compliance with global IT standards - Focus on 4 pillars: Connectivity, Automation, Decision-making, Innovation - Establish and maintain a centralized data base for the group - Digitize Manual processes - Back office functions in BK Bank and BKGI to be digitized - Develop new digital channels (Improve the APP, Prioritize mobile payments such as mVisa)
► 04	People	- Attract and retain best talent in the industry - Targeted training in IT, Operations, Business Intelligence and Risk - Develop online training tools to ensure all BK Staff are regularly trained on policies, regulations	Strong performance management systems

BK Digital Transformation Strategy

The new digital vision for Bank of Kigali is **“Giving anyone, anywhere the best customer experience through digital”**

Vision	Giving anyone, anywhere, the best customer experience through digital			
	 Wow the customer 70% NPS score	 Improve profitability 28% increase in profit before tax	 Diversify Group revenue 50% increase in non-funded income	 1 million new retail and SME customers
	A Connectivity	B Automation	C Advanced Analytics	D Innovation
	- Highest rated mobile app 70% NPS score in customer satisfaction 99% system uptime across all channels 50% reduction in queue times	- Top 10 customer journeys and critical processes digitized end-to-end 40% reduction in operating costs, 50+% reduction in turnaround times, 40% of sales done digitally	- Cross-selling - 15% increase in revenue per customer 20% reduction in churn rate 25% reduction in gross NPL inflow	1 million new retail and SME customers from Bk TechHouse digital Consumers 50% increase in non-funded income
	Pillars <u>Risk & Compliance</u> Improve Risk Culture Regulatory compliance	Pillars <u>People</u> Training Way of working - Agile Performance Management		Pillars <u>Systems</u> Revamp Core Infrastructure Data Architecture

Digital Initiatives

26 digital initiatives will be delivered over the next 3 years



Connectivity

- 1 Market leading retail digital platforms (across mobile app, web, USSD)
- 2 Market leading corporate banking and SME digital platform (web, mobile)



Automation

- 3 Account opening for retail customers
- 4 Payments and transfers for retail customers
- 5 Mortgages for retail customers
- 6 Credit cards for retail customers
- 7 Personal loans for retail customers
- 8 Account servicing for retail customers
- 9 Account opening for corporate, Bank, OFI and SME customers
- 10 Cash management for corporate, Bank, OFI and SME customers
- 11 Term loan for corporate, bank, OFI and SME customers
- 12 Trade finance for corporate, bank, OFI and SME customers
- 13 Account servicing for corporate, bank, OFI and SME customers
- 14 Asset finance for corporate, bank, OFI and SME customers
- 15 Cards for corporate, bank, OFI and SME customers
- 16 Foreign exchange and money markets for corporate, bank, OFI and SME customers
- 17 Reconciliation



Advanced Analytics

- 18 Customer value retention
- 19 Advanced early warning systems
- 20 Cross and up-selling existing customers
- 21 1-2-1 pricing
- 22 RM Workbench
- 23 Collections optimization



Innovation

- 24 Agriculture ecosystem
- 25 SME ecosystem (incl. education)
- 26 Payment ecosystem

BK Insurance Strategy Plan

BKGI Designed Strategic Objectives

Vision	To be a leading provider of innovative, high quality Insurance services.			
Overall Aspirations	 Business Growth. 15% Annual Turn Over. Profitability: 3Bn by 2023.			
Themes	A Determine Growth Path	B Cost Control	C Key Structures Operational	D Skills Uplift
Theme Aspirations	- Identify Target Markets - Design Relevant Products - Determine Distribution channels 90% Retention of Customers - Enhance Banc-assurance - Hire Insurance Agents - Meticulous Claims Analysis - Prudent risk assessment	- Agreements with Garages & Spare Parts Shops on prices - Prompt investigations on claims - Outsource skilled Loss Assessors to mitigate valuation risk - Maintain 30% ration of operating costs - Automate process - Digitise channels. Motor & Fire offered digitally	- Credible BOD with governance & Insurance Knowledge - ERM in place with a fully functioning Risk Unit - Enhance Underwriting Skills - Risk surveys for big Risks - Enhance Internal Audit Unit - Determine Risk Appetite framework - Management Performance Reviews - Own Risk Registers & train Risk Champions.	- Design development plan for key personnel - Fast Track teams with a long term orientation - Empowerment of key personnel - Establish staff recognition schemes - Clear growth path - Staff satisfaction surveys
Foundational Issues	Key Distribution Channels: Direct Sales; Intermediaries; Digital Channels offerings Leveraging Banc-Assurance	Design a Customer Service Charter Put in place Service Delivery Standards Encourage customer Feedback Design communication strategy Improve product packaging/offering		People

BK TechHouse Strategy Plan

The 3 years strategy vision is “Creating innovative and digital solutions that bring value to BK Group Plc.”

Vision	Create innovative and digital solutions that bring value to BK Group Plc.		
Overall Aspirations	 Scale up existing systems and keep increasing the digital users up to 2,000,000	 Improve the company profitability through the Big Data Business with a positive EBITDA starting from 2020	 Enhance governance and internal control systems
Themes	A Innovative Digital Platforms	B Growth Path	C Meet the operational best practices
Theme Aspirations	Agriculture - Create new digital solutions that enable BK Group to create business opportunity through digital offering in Agriculture; Education - Create new digital solutions that enable BK Group to create business opportunity through digital offering in Education Sector;	- Design Big Data Business Module and start monetizing developed Digital Platforms through below digital products portfolio: - Data Access - Software As a Service - Data Analytics - Maximize profitability and cash flow while maintaining annual business growth to 20%-25%	- Strong Internal control system - Clear KPI management framework & Implement the Performance management Framework - Efficiency in cost management
Foundational Issues	Public Private Partnership with MINAGRI, RAB & NAEB	Regulatory and Policy framework on the Big Data	Strong operational structure

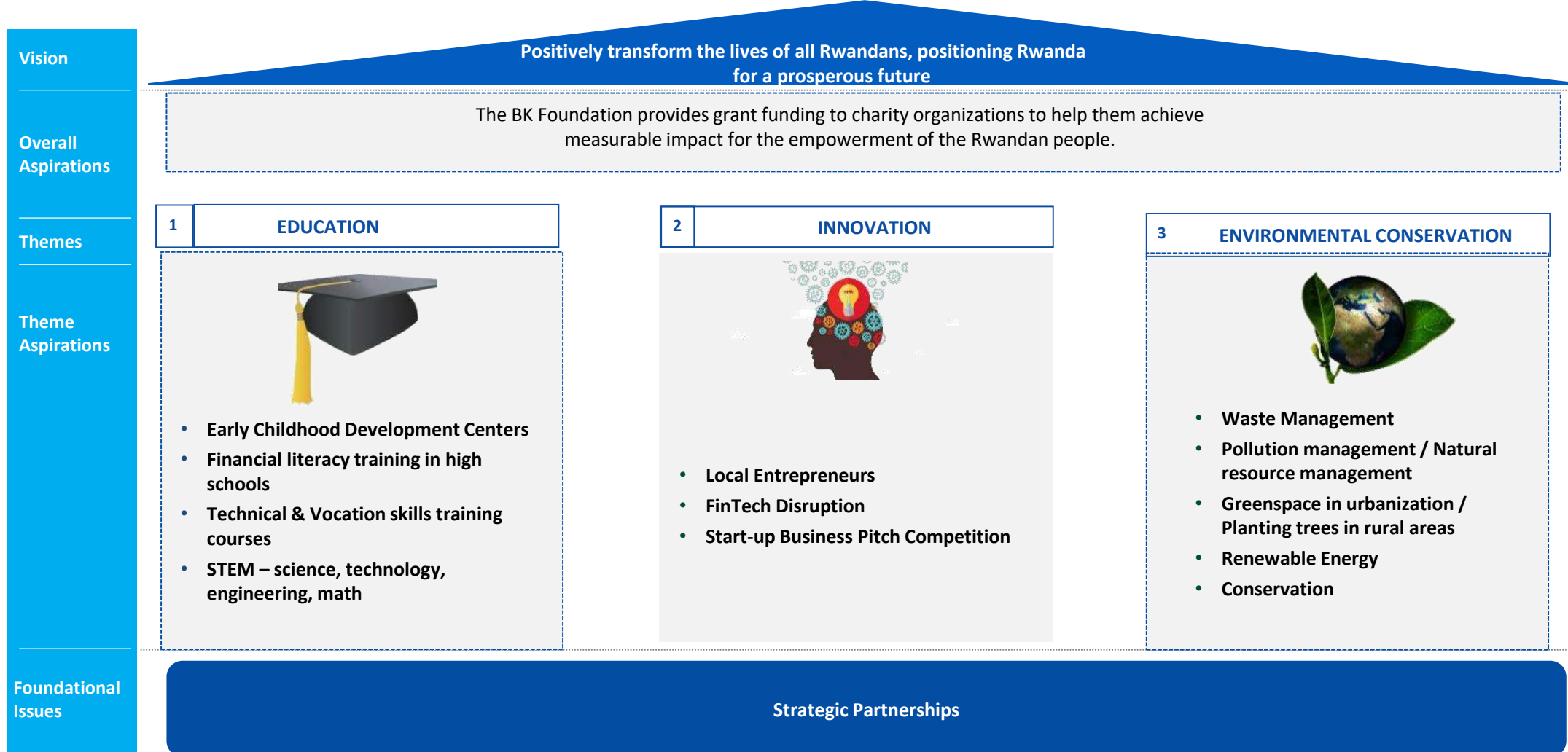
BK Capital Strategy Plan

BK Capital's mission is to serve as a trusted partner to its clients by responsibly providing financial services and advisory to its clients' finances

Vision				
To be the most trusted financial partner offering Innovative financial solutions				
Overall Aspirations	 Position BK Capital as the leading Advisory & Fund Manager in Rwanda and a major player in East Africa		 Grow Assets Under Management to \$50 Million by 2023	
	 Adopt flexible financing and fundraising models, beyond capital markets to source additional capital for opportunities		 Develop teams with expertise and build a track record of successful deal execution	
Themes	A Strategic Positioning	B Wealth & Fund Management	C Financing & Fundraising	D Human Capital
Theme Aspirations	- Develop strategic partnerships with brokers, fund houses and financial solutions providers servicing clients across Africa - Develop Innovative products for the Rwandan and regional market - Develop systems & processes across the products we offer - Market Reports and research Insights that will drive decision making	Develop a diverse suite of products: - Income fund for sale to local and International Investors - Exchange Traded Funds (ETF) with Investments in a basket of securities - East Africa Equity & Fixed Income fund attracting International & local Investors to focus on blue chips stocks	Develop a variety of capital raising channels through: - Private Placements - Mergers & Acquisitions (M&A) - Private Equity Capital Market Channels through: - Corporate Bonds - Initial Public Offers (IPOs)	- Build the human capital that will meet the long term objectives of being the "benchmark" in the market - Develop Risk Management Policies concerning good market practices - Develop In-house proprietary reporting and Investment management tools
Foundational Issues	Strategic Partnerships		Systems & Processes	
			People	

BK Foundation Strategy Plan

A philanthropic Foundation aimed at effectively supporting the communities through initiatives that align with BK Group's overall mission and corporate goals.



Management Targets

	Outlook 2023	1H 2023
Loan Growth	>15%	14.0%
Deposit Growth	>20%	14.5%
Net interest Margin	>10%	10.0%
Non Funded Income	>25%	27.1%
Cost to Income Ratio	<40%	40.2%
Return on Equity	>25%	22.5%
Return on Assets	>4.2%	3.9%
Cost of Risk	< 1.5%	2.0%
NPLs	<5%	2.3%



DISCLAIMER

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

1. Economic Outlook

pg. 34

2. Banking Sector Outlook

pg. 37

3. Share Performance

pg. 46

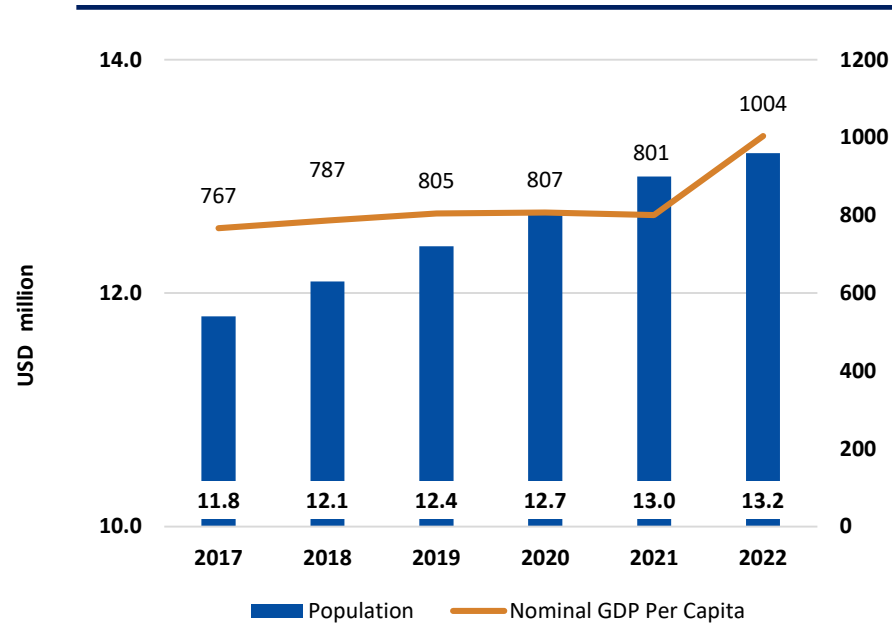


ECONOMIC OUTLOOK

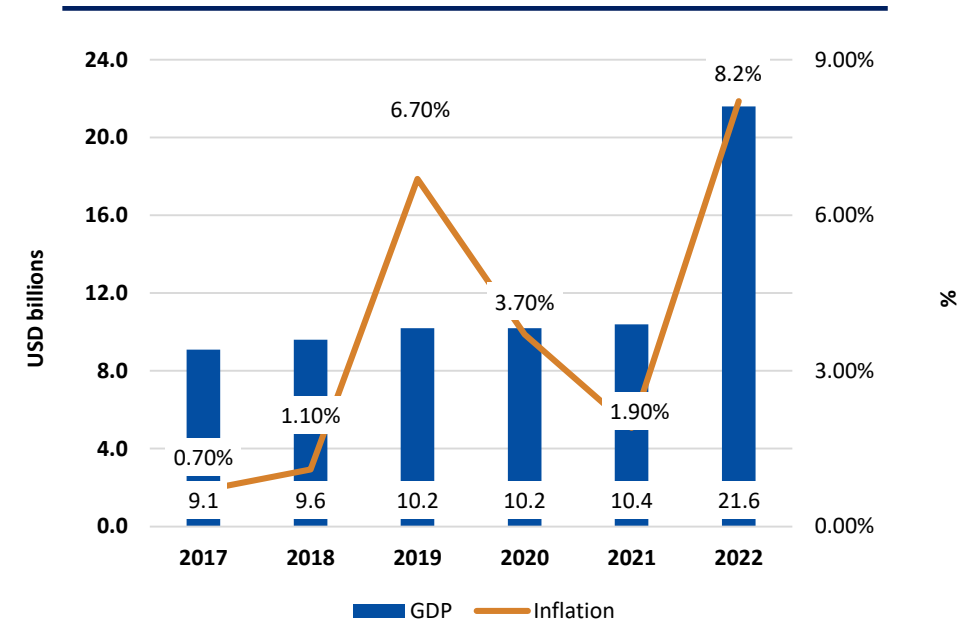
Rwanda Country Profile

Sound macro fundamentals

GDP per Capita continues to Grow



GDP growth vis-à-vis inflation



- Politically stable country with sound governance
- Attractive demographic profile: population of 13.2 Million
- In Q1 2023, GDP reached 9.2%.
- Moderate urban inflation with rate of 13.7% in June 2023.

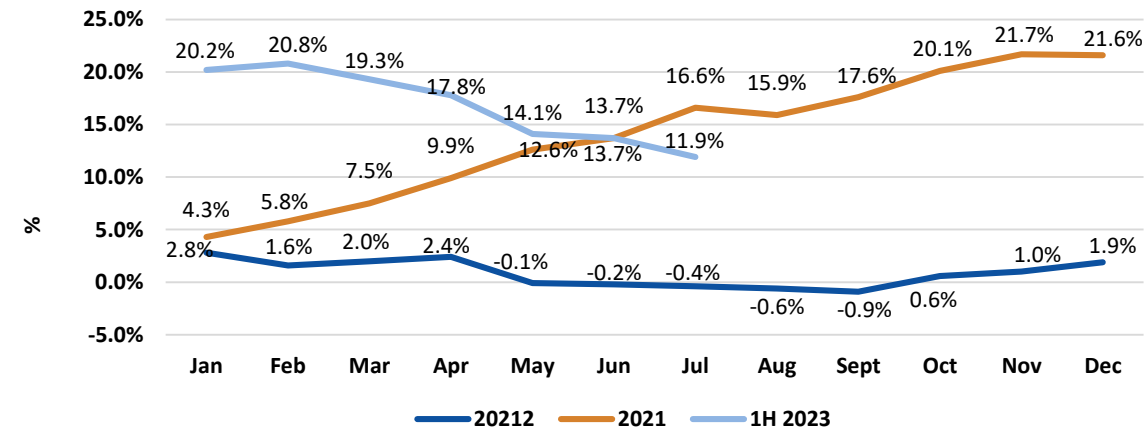
Source: NISR, Renaissance Capital Report, Finscope Rwanda Report

Review of the Macro Economic Environment

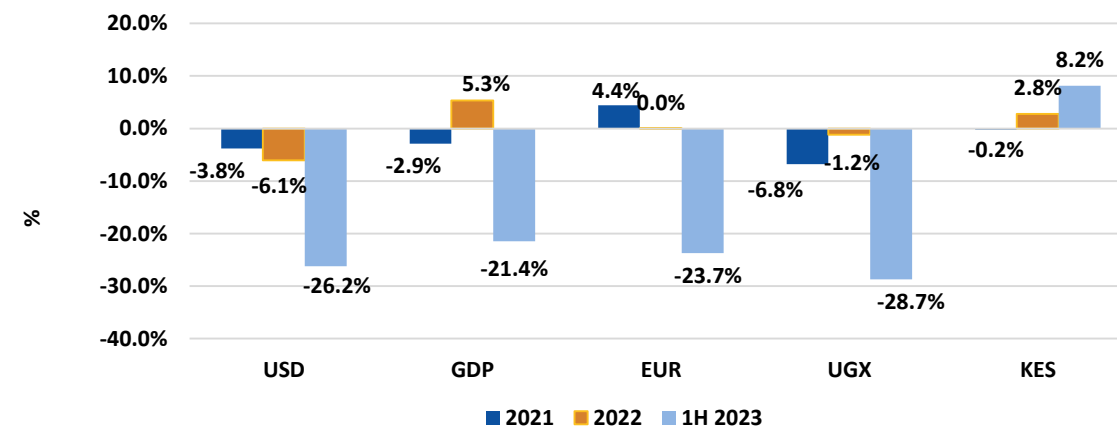
Macro Economic Review Q1 2023

- In Q1 2023, GDP at current market prices was estimated at Frw 3, 901 billion, up from Frw 3,021 billion in Q1 2022. In this quarter, services sector contributed 44% of GDP, agriculture sector contributed 27% of the GDP, the industry sector contributed 22% of the GDP and 8% was attributed to adjustment for taxes and subsidies on products.
- Agricultural activities grew by 1% and contributed 0.2 percentage points to overall GDP growth. Within agriculture, the production of food crops decreased by 3% while the production of export crops increased by 25%.
- Industrial activities grew by 9% and contributed 1.7 percentage points to GDP growth. Within industry, construction activities increased by 1%, mining and quarrying increased by 15%, while manufacturing activities increased by 16%.
- The growth in manufacturing was boosted by 22% increase in food processing; 26% increase in manufacturing of metal products, machinery & equipment; 37% increase in manufacturing of chemicals rubber & plastic products; 18% increase in manufacturing of wood & paper printing and 7% increase in manufacturing of non-metallic minerals manufacturing.
- Service sector grew by 13%. Within services, wholesale & retail trade increased by 17%; transport activities increased by 19%, hotel and restaurants grew by 42% and financial services increased by 12%, telecommunication services increased by 43%; professional & scientific services dropped by 6%. Public administration services increased by 7% and education services by 13%, however health services recorded negative growths of 3% following a high growth of 22% in the same quarter of 2022.

Inflationary Environment



Exchange Rates Development



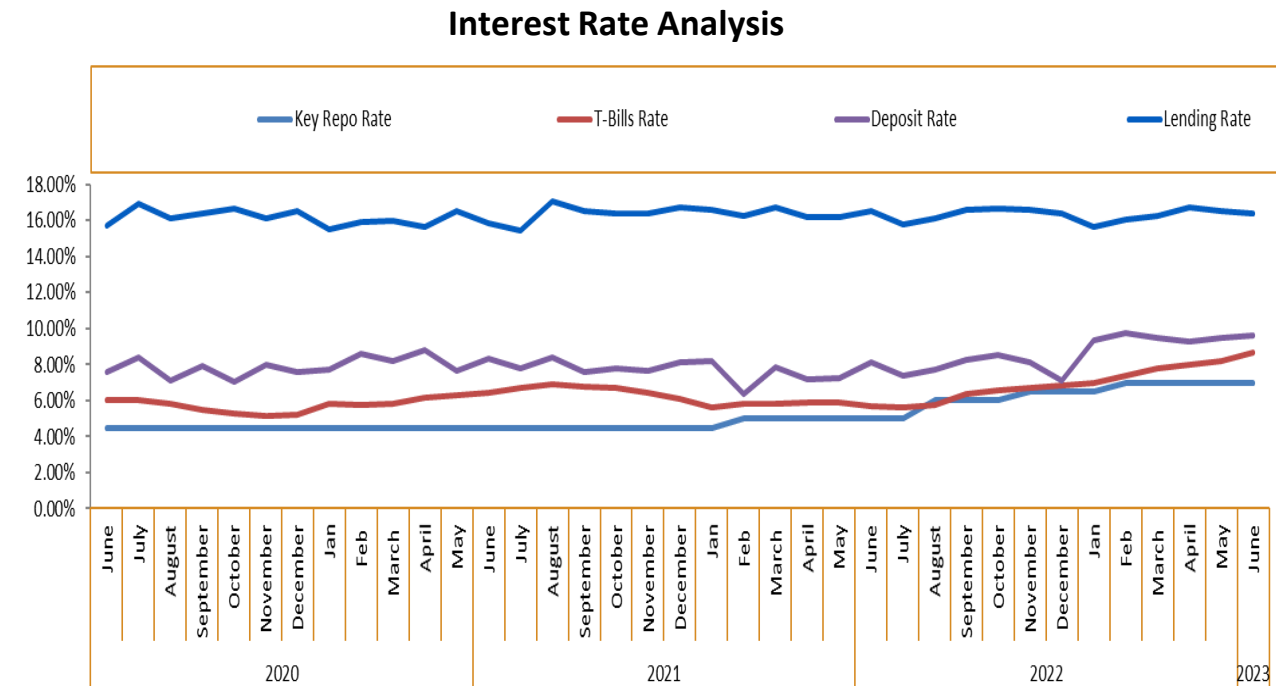
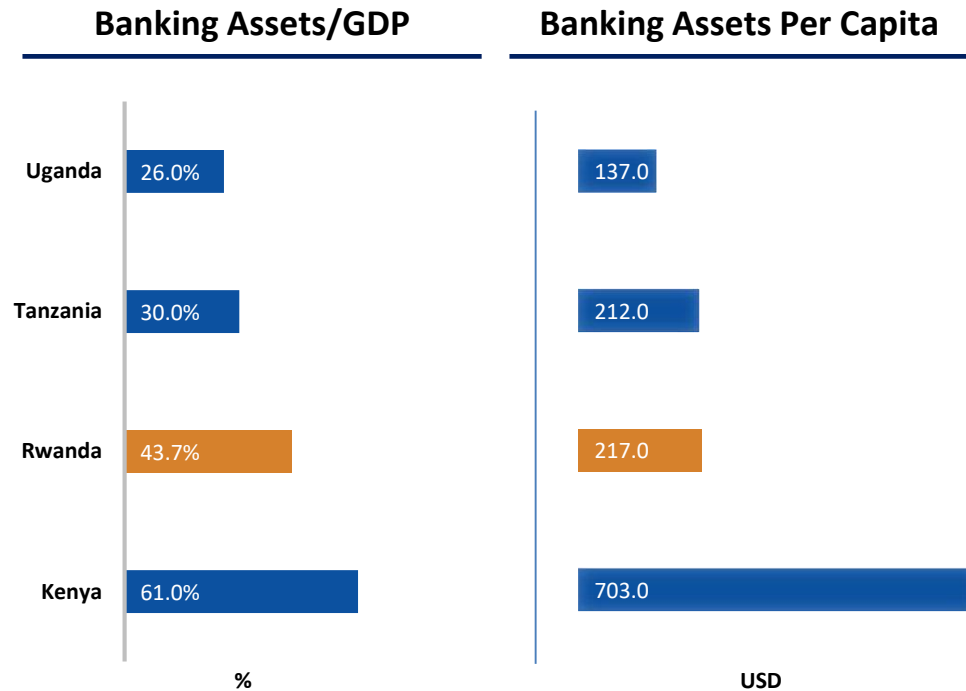
Source: BNR, NISR; Rwandan Franc (FRw) 1,163.3 FRw = 1 US\$ as at June, 2023



BANKING SECTOR OVERVIEW

Banking Sector Overview

Significant Banking Sector Potential

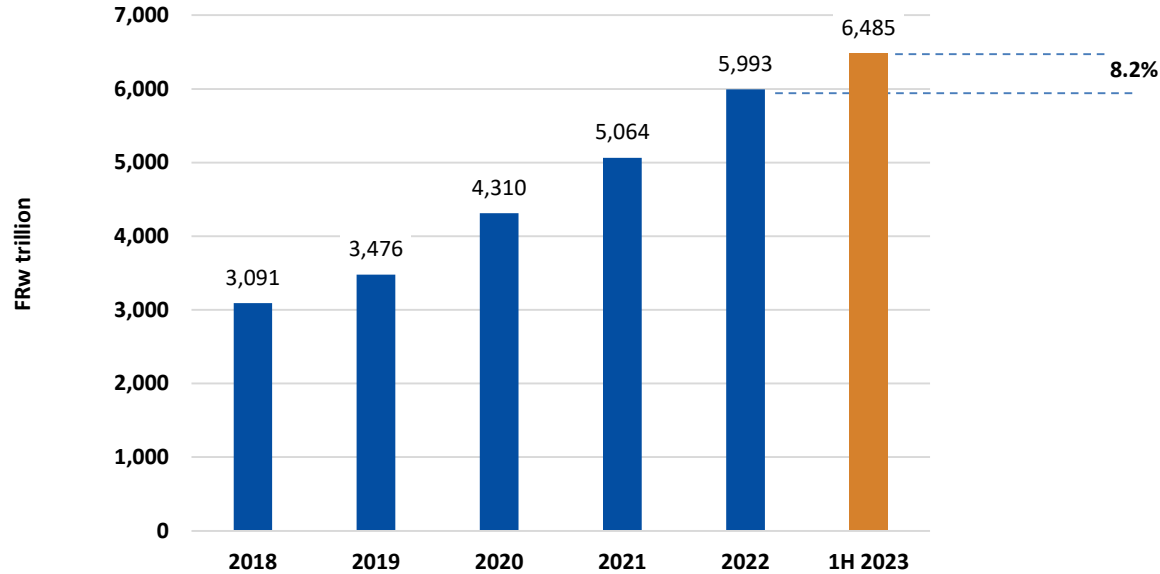


- Well regulated banking sector: fairly conservative regulator relative to other regulators in the EAC
- Significant headroom for growth given under-banked and excluded population
- Significant headroom for growth given under-banked and excluded population; 36% of adults in Rwanda are banked or are using banking services
- Total assets/GDP of 55.3% as at Q1 2023.

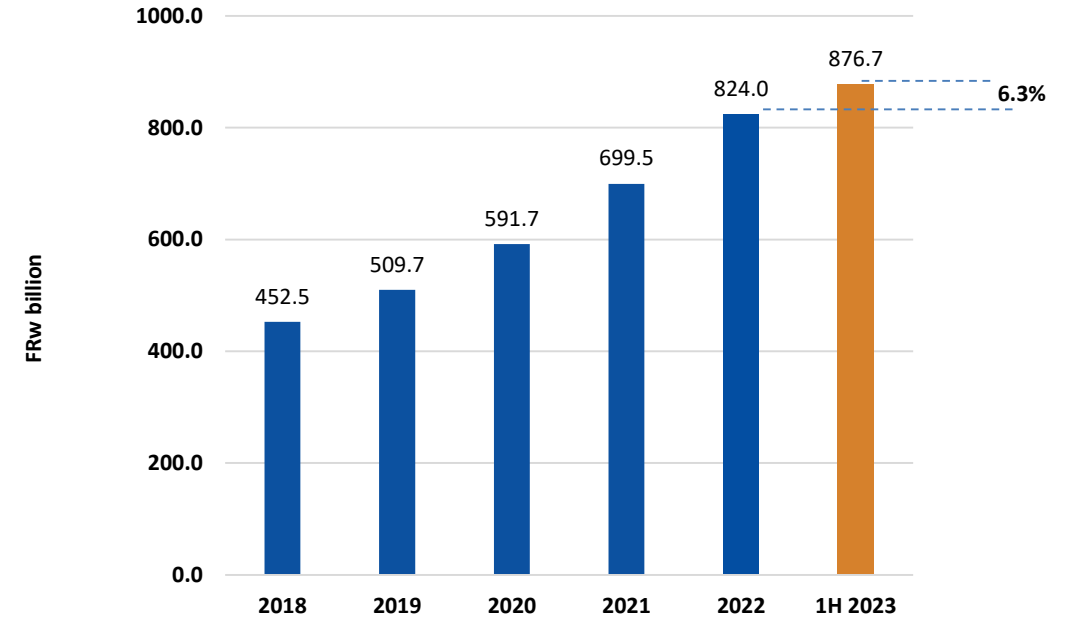
Source: Exotic Frontier Equities, National Bank of Rwanda Monetary Policy Statement, Population stats by World Bank

Financial Sector Overview

Rwanda Banking System Total Assets



Rwanda Insurance Sector Total Assets



- The Financial sector is expected to remain sound and stable.
- Banking assets registered annual growth rate of 8.2 % to FRw 6,485 trillion in June 2023 from FRw 5,993 trillion in December 2022.
- The Insurance Sector registered a growth rate of 6.3% to FRw 876.7 billion in June 2023 FRw from 824.0 billion in December 2022.

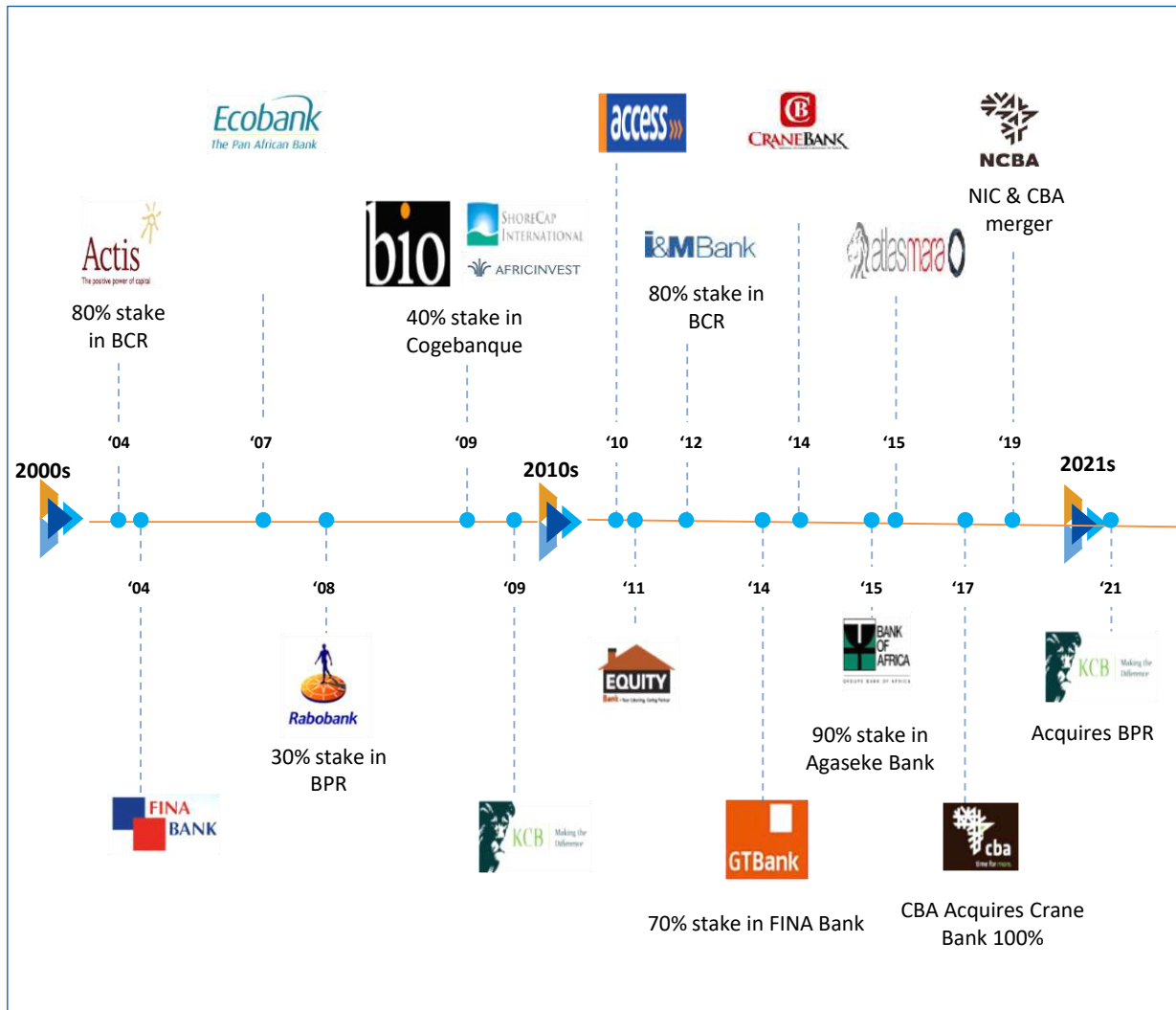
Source: NISR, Renaissance Capital Report, Finscope Rwanda Report



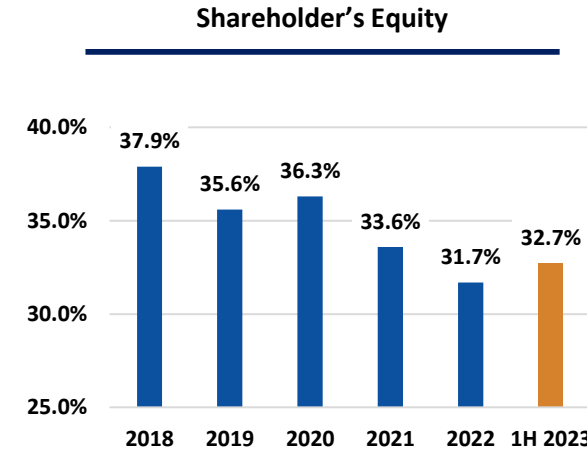
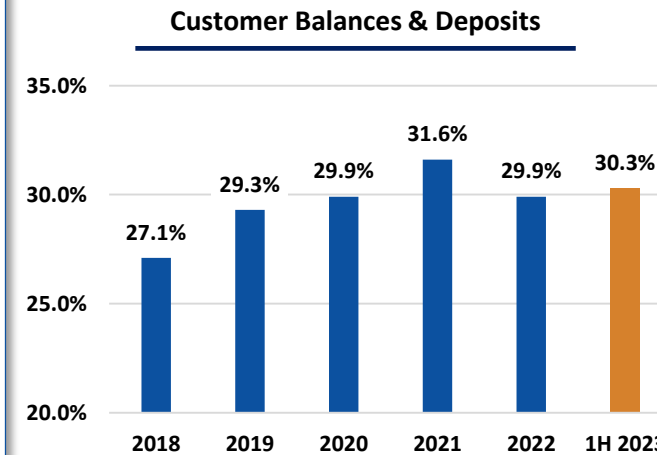
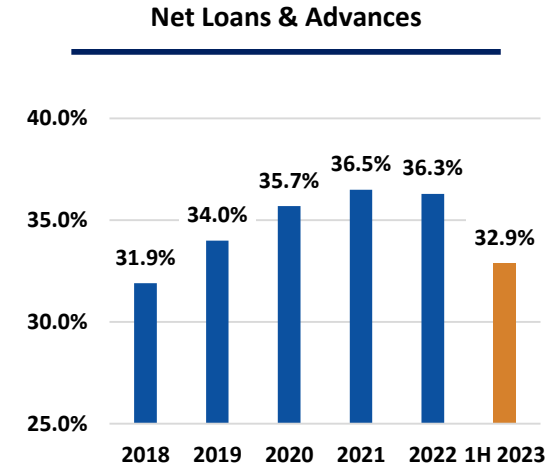
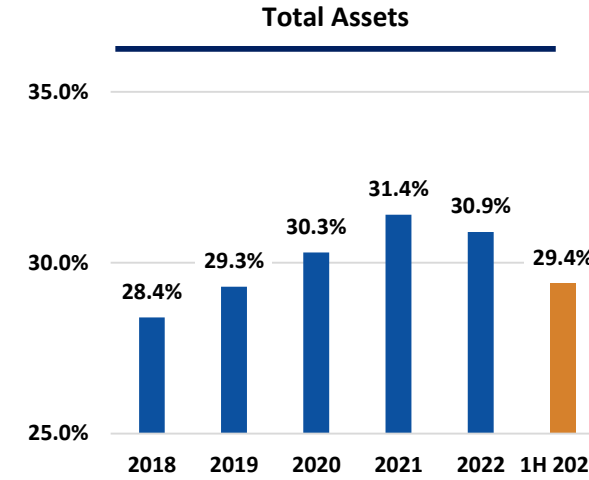
Rwanda Insurance Industry - General Insurance

Company	Gross Written Premium	Underwriting Results	Loss ratio	Expense Ratio
BKGI	2,523,528	669,610	33%	32%
PRIME	5,435,115	820,331	48%	28%
SANLAM	5,460,369	-56,554	65%	37%
RADIANT	4,434,977	- 151,119	59%	47%
MUA	3,911,486	148,587	50%	42%
OLD MITUAL	6,101,469	89,983	71%	26%
MYFAIR	1,258,660	-114,538	32%	95%

Timeline of Foreign Investment In The Rwandan Banking Sector



Bank of Kigali Market Share



Source: NISR, Renaissance Capital Report, Finscope Rwanda Report, BNR

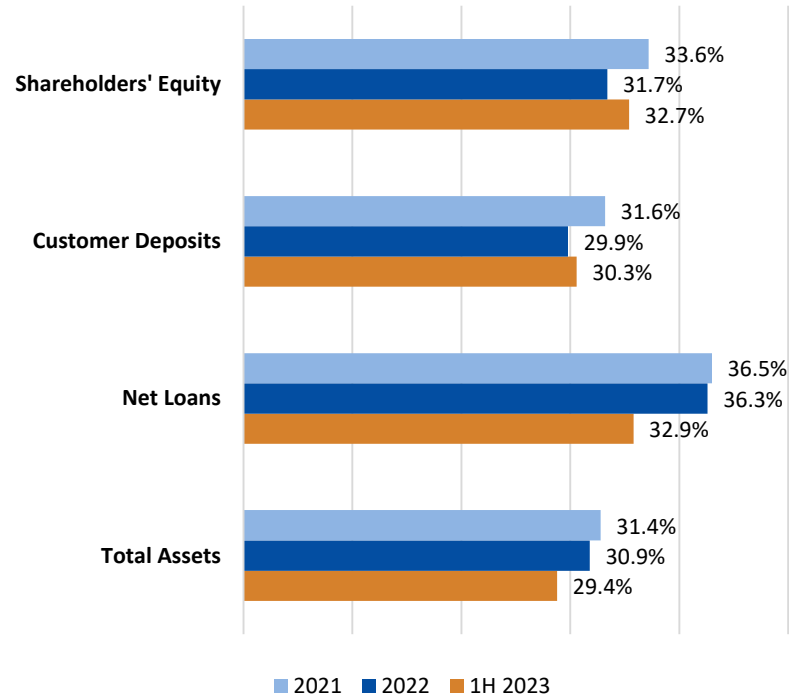
Top Banks in Rwanda

Entity	Total Assets		Net Loans		Customer Deposits		Equity	
	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank
 BK GROUP PLC	36.9%	1	44.0%	1	35.7%	1	41.6%	1
	15.2%	2	18.8%	2	14.2%	2	16.2%	2
	12.7%	3	10.0%	3	13.8%	3	9.7%	3
	10.4%	4	9.4%	4	9.6%	4	9.1%	4
	6.0%	5	5.2%	5	5.4%	7	5.9%	5
	5.1%	6	2.4%	8	6.0%	5	4.3%	6
	4.3%	7	2.3%	9	5.6%	6	3.8%	7
	3.5%	8	3.7%	6	3.5%	8	3.4%	9
	3.3%	9	2.6%	7	3.0%	10	2.5%	10
	2.7%	10	1.4%	10	3.2%	9	3.5%	8

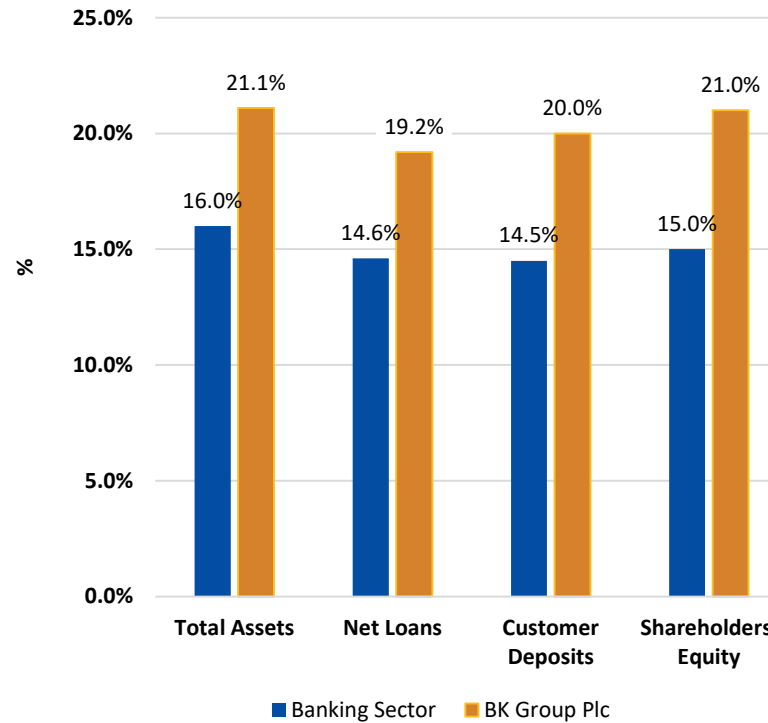
Source: 1H 2023 Published financials

Market Share Dynamics

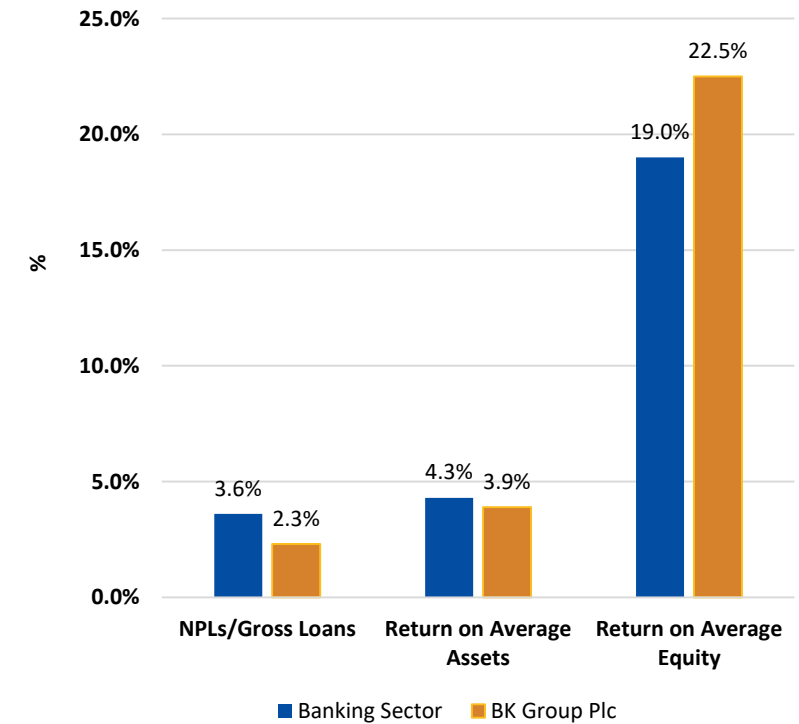
Market Share for Banking Sector



Bank of Kigali vs. Banking Sector Growth CAGR 2018 - 1H 2023

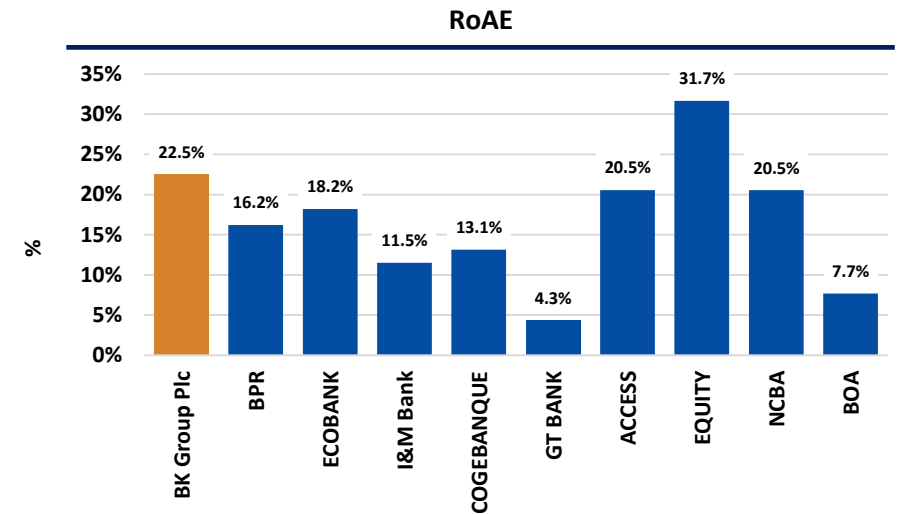
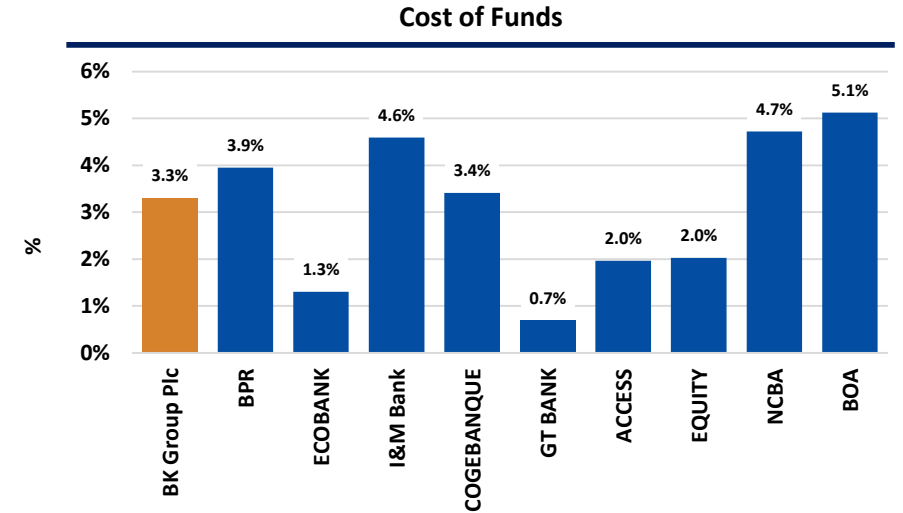
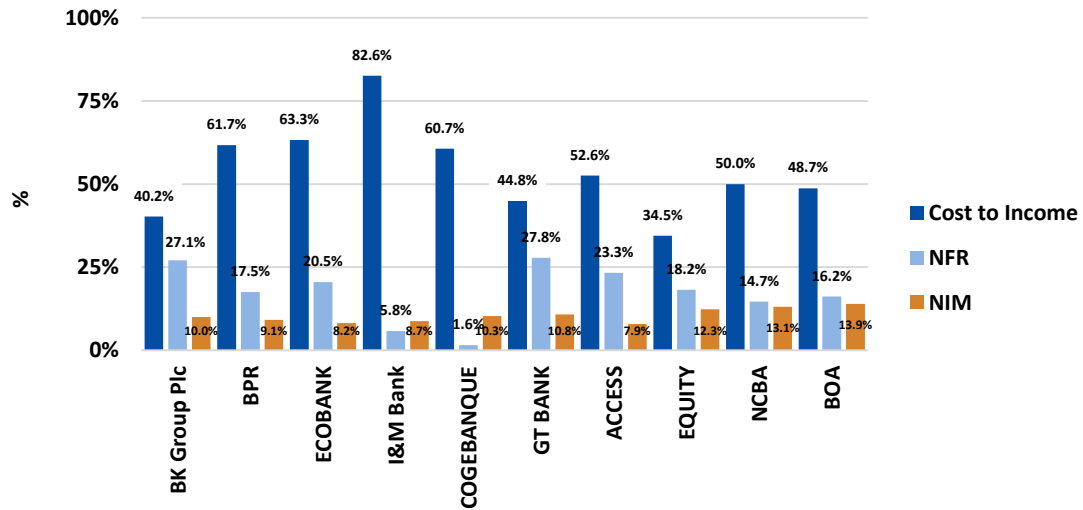
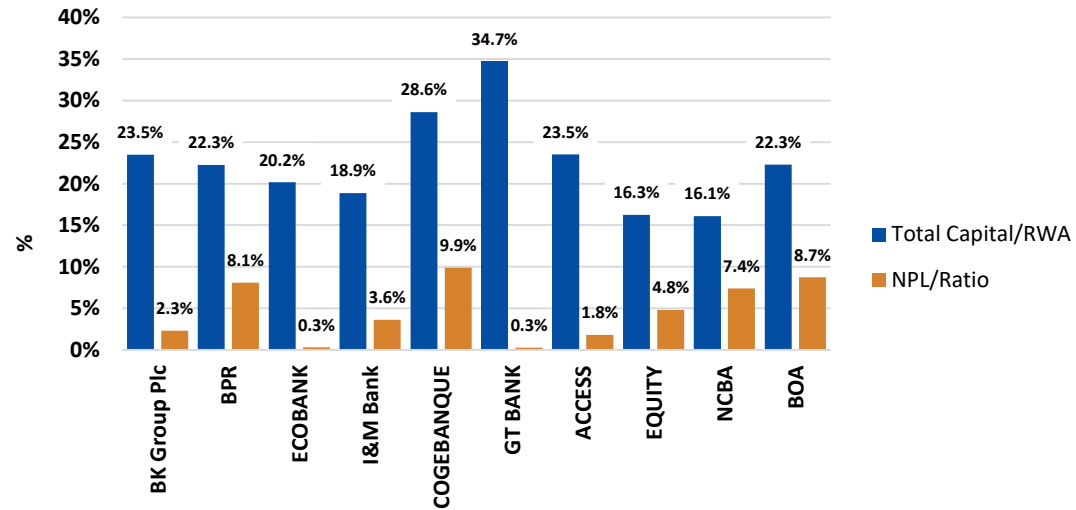


Selected Indicators 1H 2023



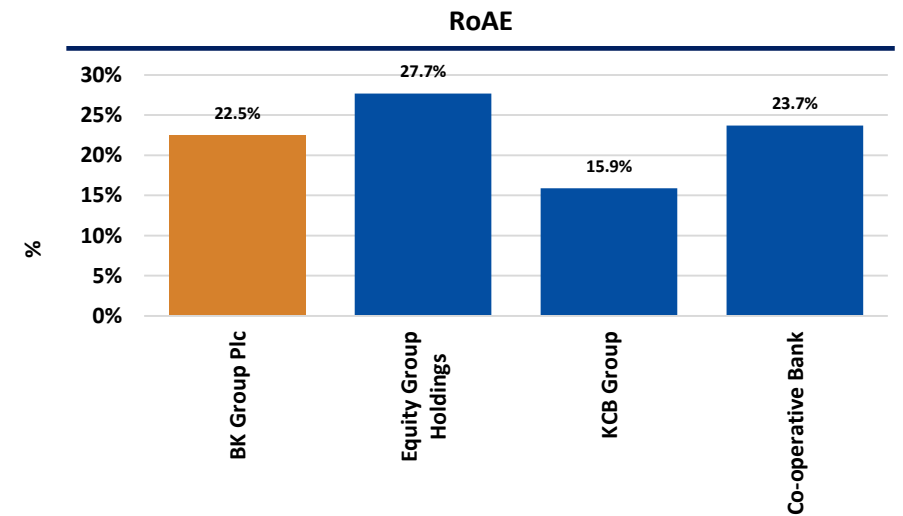
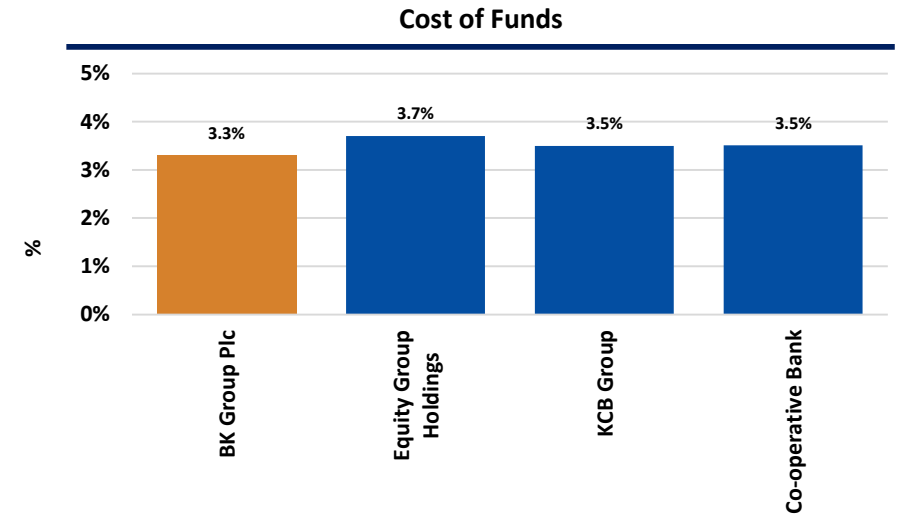
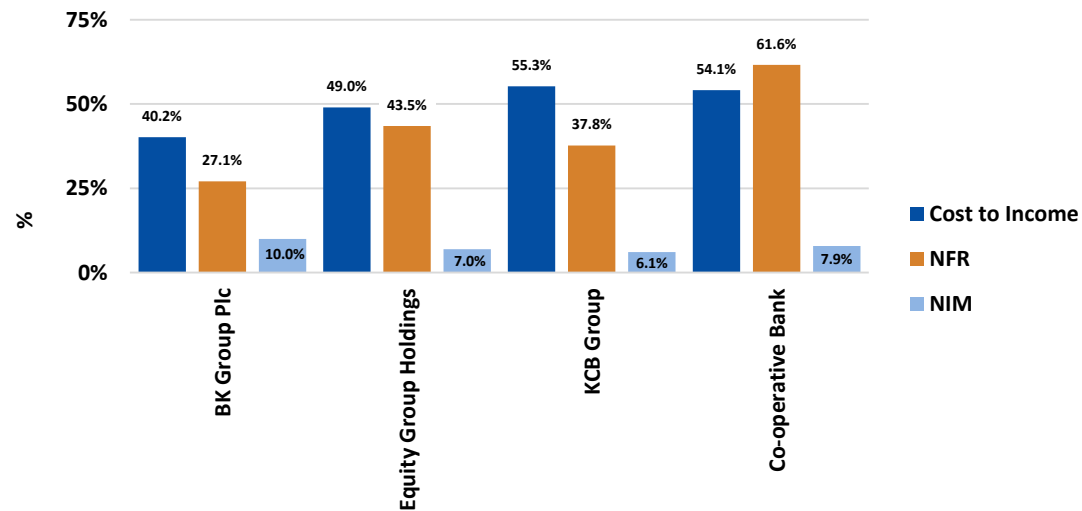
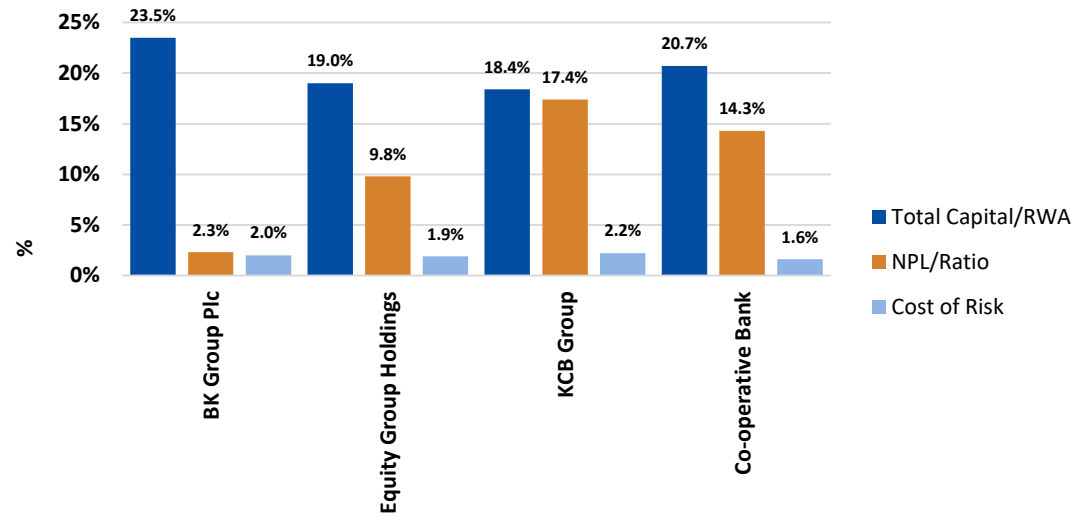
Source: BNR

Competitive Landscape: Rwanda



Source: 1H 2023 published financials

Competitive Landscape: Kenya

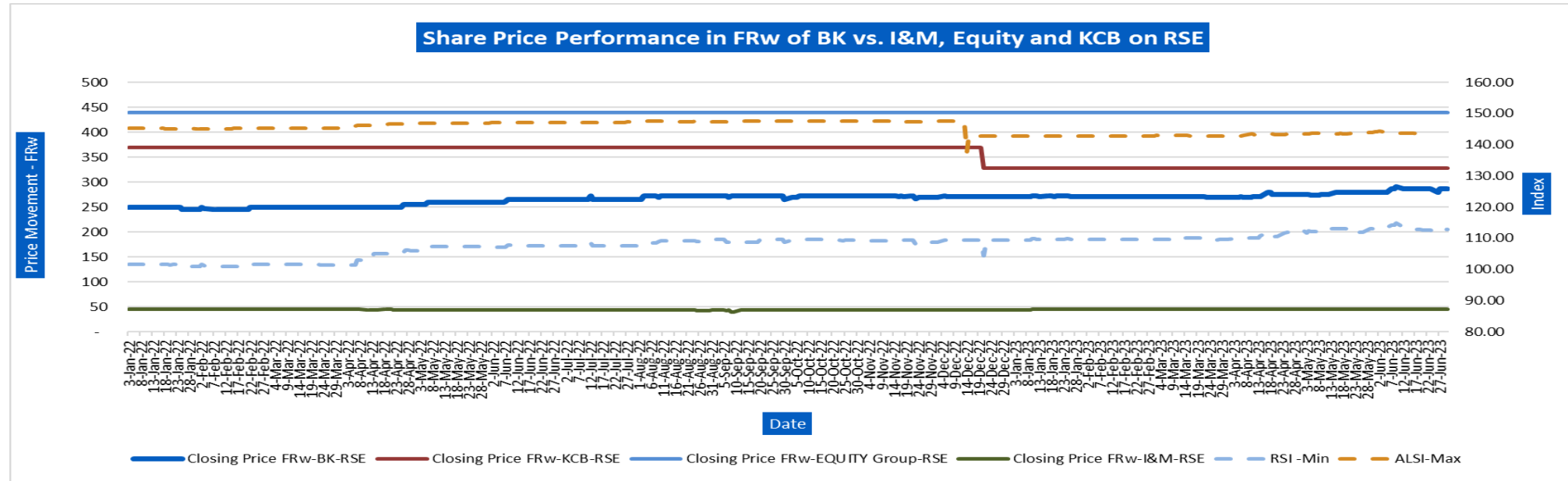


Source: 1H 2023 published financials

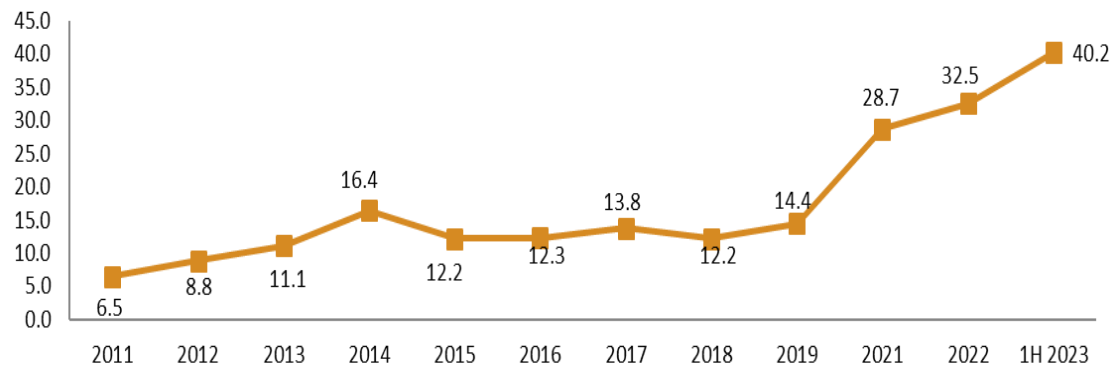


SHARE PERFORMANCE

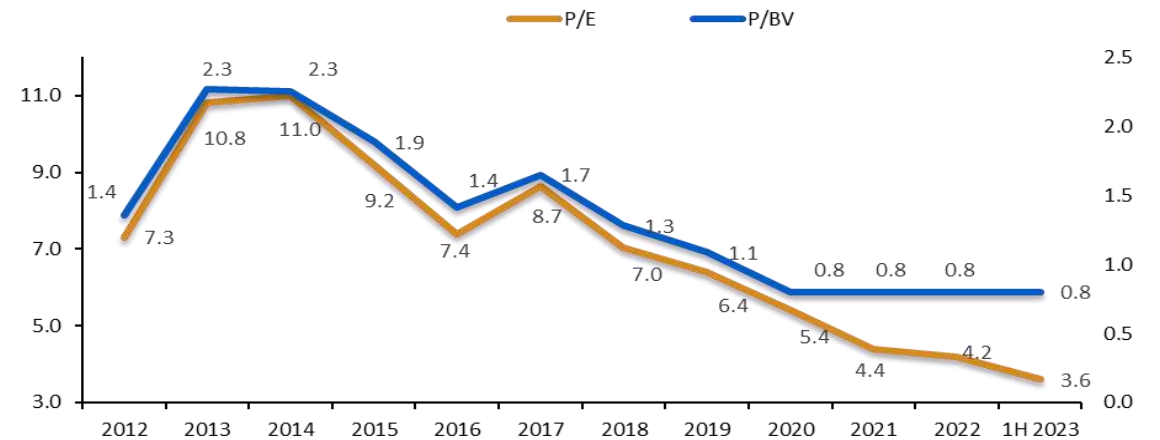
Share Price Performance FRw - Rwanda



Dividends Per Share (FRw)

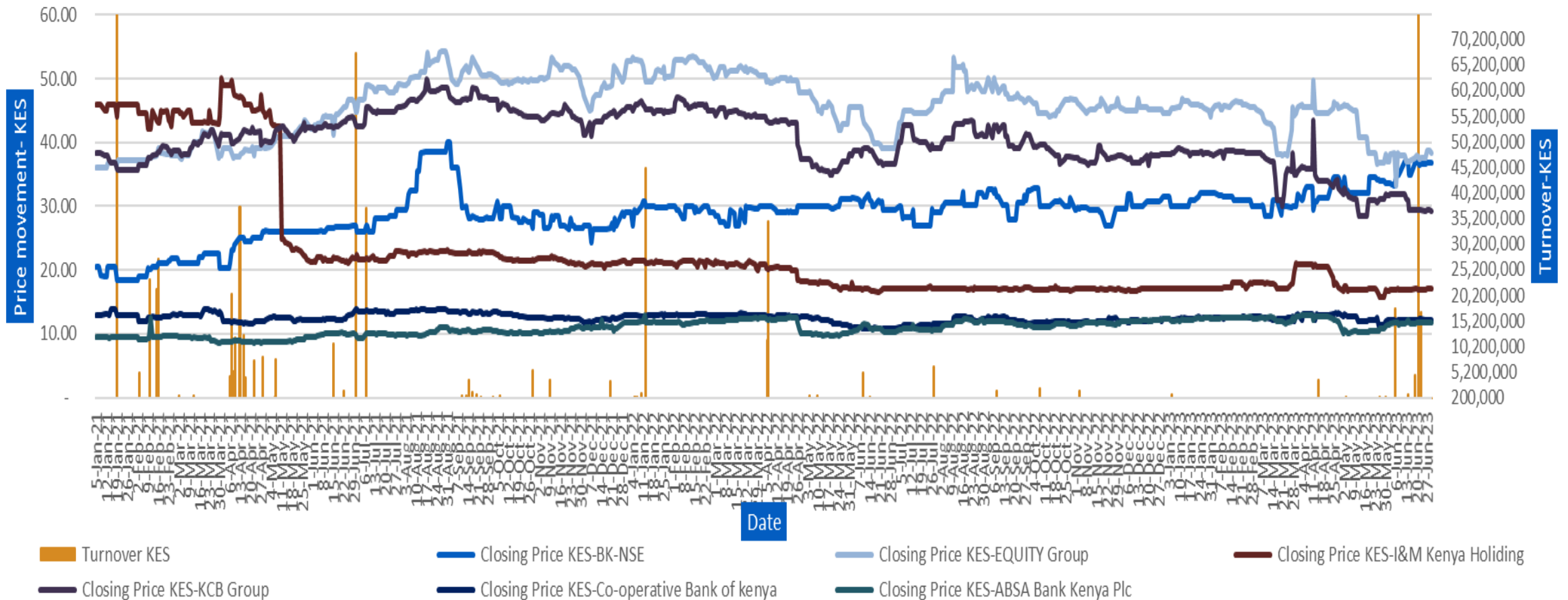


P/E ratio and P/B



Share Price Performance KeS - Kenya

Share Price Performance NSE - BK VS. Equity Bank, KCB Bank, I&M Bank, CO-OP Bank and ABSA Bank





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